ANNUAL REPORT 2011



First Gulf Bank

ANNUAL REPORT 2011

His Highness Sheikh Khalifa Bin Zayed Al Nahyan
President of the United Arab Emirates



General Sheikh Mohammed Bin Zayed Al Nahyan
Abu Dhabi Crown Prince
Deputy Supreme Commander of the U.A.E. Armed Forces



His Highness Sheikh Tahnoon Bin Zayed Al Nahyan

Chairman

First Gulf Bank



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Board of Directors

H.H. Sheikh Tahnoon Bin Zayed Al Nahyan	Chairman
Abdulhamid Mohammad Saeed	Board Member & Managing Director
Ahmed Ali Al Sayegh	Board Member
Khaldoon Khalifa Al Mubarak	Board Member
Khadem Abdulla Al Qubaisi	Board Member
Sultan Khalfan Sultan Al Ktebi	Board Member

Chairman's Report

On behalf of the Board of Directors, I am pleased to present to the shareholders the Audited Financial Statements of First Gulf Bank for the year ending December 31, 2011. The financials reflect the strength of our business model and the growth, which the bank has achieved against a challenging economic environment. The year 2011 was a year whereby we continued to concentrate our efforts on growing and expanding our core businesses with the objective of optimizing the bank revenues as well as the returns to our shareholders.

The UAE has made great progress since its inception in 1971 and has established itself at the forefront of economic and social development, positioning itself as a key player in the Middle East and global markets. The sound policies of our rulers created diversified opportunities for all the segments of the society. The country capitalized on its growth and delivered a solid performance across various industries such as the hydrocarbon sector, the service sector, the hospitality sector as well as the trading sector. The UAE continues to display steady rates of growth with an estimated 3.3% GDP growth for the year, within a challenging global economic environment. The UAE was ranked fifth in the world in terms of efficiency of government spending in the 2011-2012 by Global Competitiveness Report of the World Economic Forum (WEF), reflecting 40 years of strong leadership achieving prosperity for its citizens.

2011 was a record breaking year for First Gulf Bank with an achievement of over USD 1 billion (AED 3.7 billion) in net profit. We have reinforced our position as one of the top banks in the UAE in terms of capital, asset size and profitability. Guided by our vision of maximizing shareholders returns, we have reconfirmed our A+ credit rating reflecting First Gulf Bank's strong capital adequacy ratio and liquidity. We have focused on our core strengths, giving a priority to deliver a strong balance sheet resulting in superior returns on all fronts. Over the past ten years we have worked relentlessly towards establishing a strong leading financial institution and we are proud to have achieved this leading market position today. It is worth highlighting that, as a result of our sound strategy, our net profits have consistently grown year after year and jumped from a mere USD 14 million in the year 2000 to exceed the USD 1 billion mark in 2011.

As we move into 2012, First Gulf Bank has a two prong strategic plan. We will continue to expand our leading market position in our core businesses, while simultaneously, we will invest in our new developing businesses with the objective of complementing our existing core and positioning the bank for the long term growth. We will expand our service offering and enter new customer segments to grow our market share in the UAE. Moreover, our ambition continues to drive us to operate globally in various geographies, with a strong focus on Asia. We will continue investing in our people, technology and infrastructure to drive our growth plans in the future.

As part of First Gulf Bank's vision, the Board of Directors have always focused on ensuring a high shareholders return by maximizing dividend payments. This year, the Board is pleased to recommend the distribution of 100% of capital as cash dividends and 100% of capital as bonus shares to shareholders.

I would like to take this opportunity to express my gratitude to the President His Highness Sheikh Khalifa Bin Zayed Al Nahyan for his guidance and support, His Highness Sheikh Mohammed Bin Rashid Al Maktoum, Vice President, Prime Minister and Ruler of Dubai, His Highness Sheikh Mohammed Bin Zayed Al Nahyan, Crown Prince of Abu Dhabi and their Highnesses and all members of the Supreme Council for their support and to congratulate them and the people of the UAE on our nation's 40th anniversary. We wish our country continued success in the years to come.

I would also like to extend my thanks to all our shareholders, customers, correspondent banks, and UAE Central Bank for their continued support. Finally, I would like to thank all the Board Members, the Management Team and the staff for their commitment, dedication and outstanding achievement.



Tahnoon bin Zayed Al Nahyan
Chairman

Managing Director's Report

Dear Shareholders,

I am pleased to share with you another successful year of superior financial performance for FGB. 2011 is a year we continued to outperform in the industry and to take a leading position in the market through our profitability, efficiency, and return on investment.

While the world continued to witness global economic challenges in 2011, we have been determined to drive our business to the next level, strengthening our brand presence in the UAE and international markets. We have focused on growing our personal and corporate banking businesses, targeting new segments as well as enhancing our customer experience.

We continued to strengthen our liquidity and capital position and to maintain prudent risk management practices. We ended the year 2011 with a Net Profit of AED 3,707 million successfully passing the USD 1 billion mark.

We continued to enjoy the trust of investors on both local and international levels. After issuing conventional bonds worth CHF 200 million during the first half of 2011, our two Sukuk issuances received wide-spread interest. Our July 2011 inaugural 5-year USD 650 million Sukuk issue followed six months later by a second 5-year USD 500 million Sukuk issue were both oversubscribed by investors from UAE, GCC, Asia and Europe.

In 2012, FGB is determined to grow its business by entering new markets and to strengthen its presence in Asia. We will also focus on strengthening our existing operation in the UAE, and on introducing new financial services to our customers.

Our international expansion plan focuses on high growth markets as well as building synergies with our existing business. We aim to build expertise and know-how to grow our business. We also believe the UAE economy will further evolve and grow with new arising opportunities to tap into.

As per our strategy, we will build our customer relations and transform our business to be more agile to market changes and evolving dynamics. We will continue building on strong relations with our existing customers in addition to extending our services to new segments.

We are focusing on building specialization and in-house capabilities to strengthen our market position to support us in entering new markets.

As we grow, we will enhance our technology to build further efficiencies in our business model and be partner of choice for our customers.

As the UAE economy grows and develops, we see continued moves towards improving the financial regulatory platform making it a much more transparent environment to operate in.

We have been very wise in our risk management strategy and have always set high standards of operation and embedded stringent risk triggers. This strategy has served us well in the recent global crisis and we will continue on our prudent strategy.

We will also, year over year move towards a better governing model of operation that will strengthen our financial position in the market.

To conclude, 2012 will be a year where we focus on our customers and on building strong relationships and strengthening our brand position. We will continue to work towards maintaining a top leading position in the financial industry and on maximizing returns to all stakeholders.



Abdulhamid Saeed
Managing Director



CEO's Report

Dear Stakeholders,

The year 2011 has shown clear signs of economic recovery in the GCC region despite global occurrences and economic events, a number of trends became increasingly evident in the region, particularly with regards to rises in oil prices and increased public spending efforts. The economic recovery in the UAE continued to gain strength and it managed to maintain growth throughout the year. With its various policies and efforts to ensure sustainable development for its economy, it is anticipated that its economic growth will continue in 2012.

2011 in Review

2011 was a successful year for First Gulf Bank (FGB), where we continued to show steady growth and to achieve record profits. We focused our strategy of prudent growth and new opportunities for business and we maintained our development progress. The success of our latest Sukuk transaction stands testament to this fact, where we received interest from investors in our region, Europe and Asia. During the year 2011, the bank was successful in raising medium and long term funding to support the growth of the balance sheet and to reduce the reliance on the short term customers' deposits.

In 2011, the bank achieved a Net Profit at AED 3,707 million, 8% higher than last year. The full year Net Profit was contributed at 98% by the core banking businesses of the Retail, Corporate, Treasury, Investments and Islamic businesses. The remaining 2% was contributed by the subsidiaries and associate companies of the group. Net Interest and Islamic Financing activities were recorded at AED 5,079 million for 2011, which is 19% higher than last year. Our shareholder's equity by end of 2011 before cash dividend distribution stood at AED 26.7 billion, 11% higher than the previous year and Capital Adequacy Ratio was set at 21.5%, one of the highest in the UAE banking industry. The balance sheet by end of year 2011 showed a stable liquidity position. The Liquid Assets Ratio increased to 13.9% up from 13.4% at the end of 2010. The loan to deposit ratio was at 101% by the end of 2011 down from 106% by end of September 2011 as a result of increase in customer deposits during Q4, 2011 by AED 7.5 billion from AED 96.0 billion to AED 103.5 billion.

The quality of the loan book improved in 2011, the ratio of Non Performing Loans to Gross Loans measured at 90 days overdue stood, by end of year 2011, at 3.4%, this is an improvement from the 3.7% at end of 2010. The Provision Coverage Ratio was also improved significantly from 89% in 2010 to 98% in 2011.

In 2011, FGB received EMEA Finance's Best Local Bank in the United Arab Emirates 2011 award, reflecting our commitment to providing the best quality of service and to constantly provide products and investment opportunities that meet the needs of the market.

The Business Groups

Corporate Banking Group

2011 was another successful year for our Corporate Banking Group (CBG). Notwithstanding the very competitive and difficult economic environment which was prevalent throughout much of the 2011, CBG was able to achieve growth, diversification and expansion of its portfolio. CBG recorded a Net Profit of AED 1.7 billion, an increase of 13% over 2010 net profits for the segment.

CGB's focus during 2011 was to grow its funded and non-funded assets base by targeting top quality customers in various targeted business. This asset growth was supported by ensuring that growth in the deposit base was also achieved.

CBG launched a number of products, including the "FirstValue" initiative, a service which supports remote cheque deposits and clearance for corporate customers, which also helped in bringing the Bank directly to the customer in support of its strategy. To facilitate in diversification and broadening of the customer's base and to tap a segment with a growing customer-base, Business Banking Unit was established to target the medium and higher level SME customer segment.

In the UAE, economic growth in 2012 and beyond is likely to be driven by sustained infrastructure related spending by the government and government related entities and we will play an active role in partnering with these entities.

Financial Institutions Group

Financial Institutions Group (FIG) continued its strong performance in 2011 and continues to strengthen its coverage with banks globally. The Group facilitates in providing competitive trade and cash management products and services to FGB's corporate, institutional and retail banking customers and maintains relationship with international, regional, and local banks to ensure smooth flow of business.

FIG has been instrumental in raising short, medium and long term liquidity for the bank and negotiated various debt and capital market, syndication and bilateral loan structures with various counterparties. In 2011, the Financial Institutions Group raised over AED 4 billion in medium term liquidity through the EMTN, Sukuk programmes and bilateral loans.

Islamic Corporate & Syndications

The Islamic Corporate and Syndications Unit contributed in generating sizeable customer deposits and in issuing a five year Sukuk worth USD 650 million through a very successful transaction 6 times oversubscribed by investors from our region, Europe and Asia.

Private Banking Group

2011 was another successful year for Private Banking Group (PBG). Fee based income comprising of commission on letters of credits, letters of guarantees, management and commitment fees on corporate customer loans, and commissions were AED 126 million during the year. Total deposits for the group stood by the end of year at AED 28.2 billion. Similarly, PBG Loans stood at AED 28.7 billion.

Retail Banking Group

The Retail Banking Group's (RBG) added AED 1.62 billion to FGB's profit base in 2011, an increase of 7% year over year along with an asset growth from AED 33 billion to AED 37.3 billion.

During the year, RBG was focused on increasing deposits, strengthening customer relationships and launching new innovative products. In Wealth Management, the group launched the FGB Optimizer and leveraged fixed income bonds. Offshore banking was also introduced by offering clients the option to open deposit relations in Singapore. First Insure and Takaful Al Awwal were introduced to launch new product propositions in Motor Insurance, Property, Travel and Health with Conventional and Islamic options.

Other products introduced in 2011 included Mobile Banking, Small Business Solutions (SBS programme) in addition to launching the Business Credit Card.

FGB continued to serve the local community by providing specialized services for the Abu Dhabi Department of Finance's interest-free National Housing Loan (NHL).

Treasury & Investments

Our Treasury Division continued to play a pivotal role in making significant contributions to the bank's bottom-line in 2011. Treasury made significant progress on several fronts against a backdrop of tumultuous events and developments in the global economy. It was successful in maintaining strong liquidity, adequately managing funding gaps and overall achieving a healthy balance sheet. Significant strides were also made in the Corporate Foreign Exchange and Derivatives area where the Treasury Marketing Unit was instrumental in meeting client demand for currency, interest rate, and other treasury risk management products.

The Investment Division also made significant progress in terms of diversifying the bank's proprietary investment portfolio. Under volatile market conditions, the division managed proprietary capital with utmost caution in order to protect the interests of shareholders and investors. FGB's strong risk management framework ensured that parameters set for different products are adhered to and limits, including stop loss and take profits, are strictly complied with. The investment team managed two external funds namely Al Saqer Fund and FGCM - Alternative Investment Certificates.

Treasury and Investment Divisions envisage a continued and well controlled growth into the future with special emphasis on prudent management of capital under any market conditions.

International Banking Group

The International Banking Group (IBG) made significant strides in 2011. The Qatar Financial Center (QFC) representative office was upgraded to Category 1 branch in April 2011 and it is now fully equipped to handle Wholesale Banking requirements. The branch in Singapore has increased its presence across the region and now handles business for clients in Singapore, Indonesia and other markets in the region. Additionally, FGB's office in India continued to support FGB's clients and to support the bank's expansion goals.

The IBG's vision is to establish a geographically diversified presence, and participate in the momentum of emerging markets in Asia Pacific by providing added value services to our client base.

Subsidiaries and Associates

Mismak properties, our real estate subsidiary continued to build a solid foundation in the regional real estate market and we remain confident that it will be making substantial contributions to FGB's revenues and profits in 2012.

FGB also launched First Gulf Properties (FGP) in 2011. First Gulf Properties is a real estate service provider specializing in Property Management. FGP is fast expanding its portfolio across the UAE and manages some of the most iconic new properties located at prime locations in the UAE, and is set to add more landmark properties to this impressive list in the coming year.

Aseel, our Islamic mortgage service company continued managing its growth with focus on the Abu Dhabi mortgage market and ended the year with a positive bottom line of AED 41.6 million.

Other Groups

Enterprise Risk Management Group

We have set up a comprehensive enterprise risk management framework that covers the full spectrum of risks across all our businesses including subsidiaries, associates and foreign offices. The Group uses this framework for identification, assessment, measurement, aggregation and management of risks, designed to meet its customers' needs. It seeks to maximize value for shareholders over time by aligning risk management with the corporate strategy, assessing the impact of emerging risks, developing risk limits, tolerances, and mitigation strategies.

As a part of the enterprise risk management framework; we have put in place a strong risk governance structure to ensure oversight and accountability of risk management. Under authority delegated by the Board of Directors; the Risk and Compliance Management Committee, which is a Board Level Committee, formulates high-level enterprise risk management policy, exercises delegated risk authorities and oversees the implementation of risk management framework and controls.

We have also put in place a comprehensive risk appetite framework in the form of portfolio level risk limits across all key businesses. We have also implemented stress testing methodology which analyzes the impact of changes in business conditions and the general economy, as well as the sensitivity of each group's business to such changes and the scope of management actions to mitigate the impact. The risk management framework is compliant with the Basel II accord and the bank has successfully implemented the Basel II – Pillar I, Pillar II and Pillar III principles.

Business Support Group

Information Technology

FGB has continued to make strategic investments in Information Technology to further strengthen the business applications portfolio while also enhancing the technical infrastructure to provide best services to our customers. Business initiatives like launching the Mobile Banking platform and compliance systems for international entities have been successfully launched. In addition, the bank will be investing in several other strategic initiatives like Wealth Management and Global Banking Platforms to support international business growth.

Human Resources

FGB is committed to its people and their growth. Our employees are the life blood of our organization and we are continually seeking to build their capabilities in tandem with the development of our business.

Our key HR programmes in 2011 have included better alignment of our performance and reward management, improved levels of employee engagement, and a sharper focus on developing managers.

We have also launched a new UAE National Development programme and will continue to partner with key institutions such as the Abu Dhabi Tawteen Council for leadership training and the Emirates Institute of Banking and Financial Services (EIBFS) for banking training.

The way forward

2012 promises to present more opportunities and challenges for global economies and for the banking sector. The UAE's diversification strategy and economic initiatives will set the country in a strong position among global economies as it continues to focus on infrastructure development and to support emerging sectors, including renewable energy. The UAE's many factors, including its prime location, business opportunities, and hydrocarbon reserve place it at a prominent position regionally and internationally.

Through its strong business fundamentals, the high level of trust it enjoys among investors and its expansion plans, First Gulf Bank is very well positioned to continue its growth in 2012. We will continue to meet our promises of offering innovative products and services that meet the needs of our customers, and we will continue to endorse opportunities that offer positive returns to our shareholders.

Our international branches will continue to grow and develop, and we envision more branches in new locations soon. FGB will continue to search for opportunities to positively contribute to the UAE society through our many social responsibility programmes, including our Community First, Safety First, Family First, and Green Initiatives, and many more.

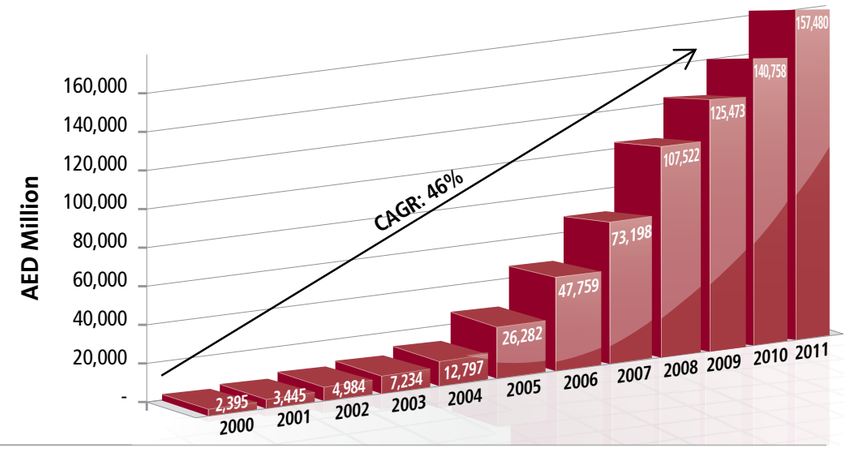
I would like to take this opportunity to thank the staff and management team for their continued dedication to First Gulf Bank, the Board of Directors for their wisdom and guidance, and to our shareholders, bondholders, and stakeholders.



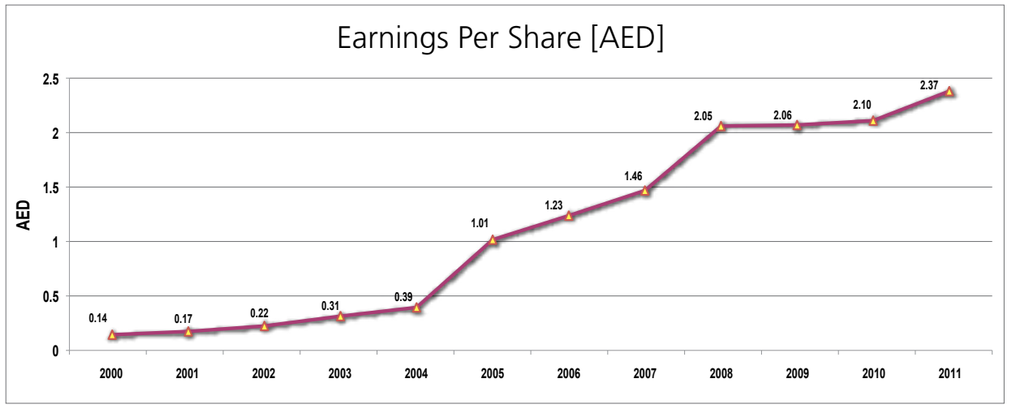
Andre' Sayegh

Chief Executive Officer

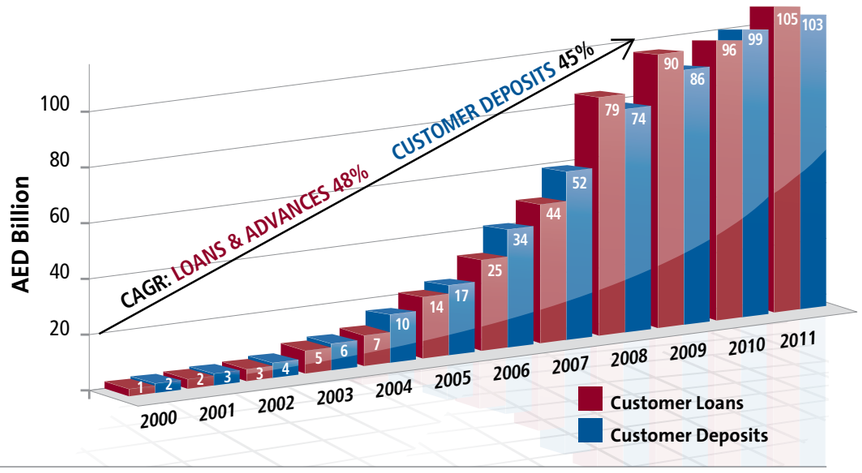
Assets



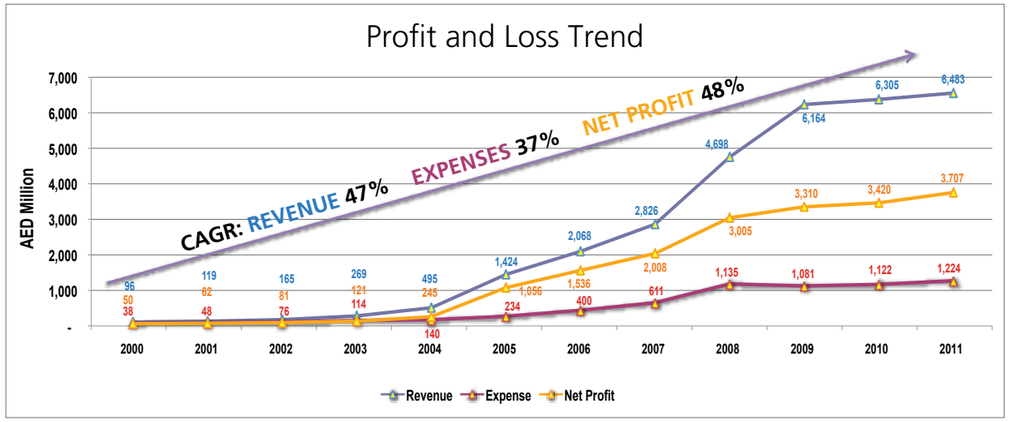
Earnings Per Share [AED]



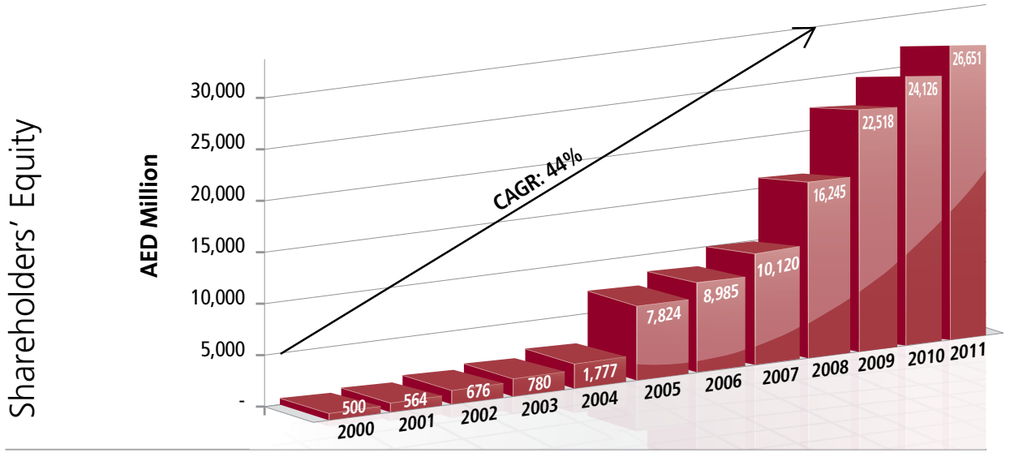
Customer Loans and Customer Deposits



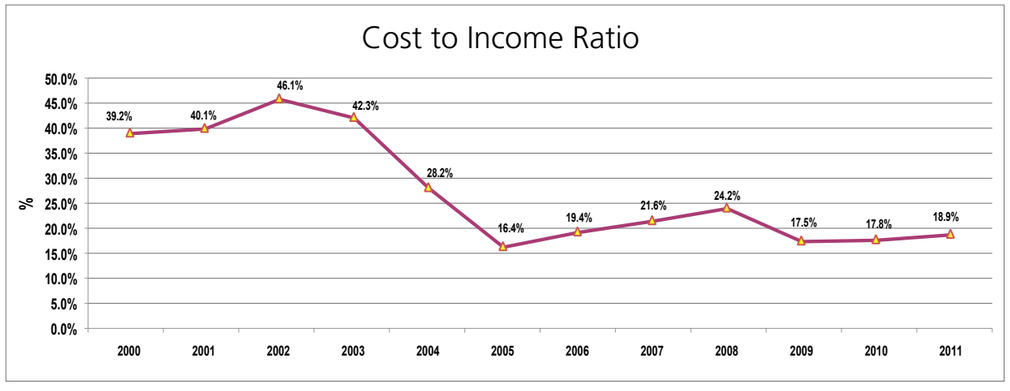
Profit and Loss Trend



Shareholders' Equity



Cost to Income Ratio



Report on the Financial Statements

We have audited the accompanying consolidated financial statements of First Gulf Bank PJSC and its subsidiaries ("the Bank"), which comprise the consolidated balance sheet as at 31 December 2011 and the consolidated income statement, consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the consolidated Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with International Financial Reporting Standards and the applicable provisions of the articles of association of the Bank and the UAE Commercial Companies Law of 1984 (as amended) and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgement, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate for the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements present fairly, in all material respects, the financial position of the Bank as of 31 December 2011 and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards.

Report on Other Legal and Regulatory Requirements

We also confirm that, in our opinion, the consolidated financial statements include, in all material respects, the applicable requirements of the UAE Commercial Companies Law of 1984 (as amended) and the articles of association of the Bank; proper books of account have been kept by the Bank; and the contents of the Chairman's Report relating to these consolidated financial statements are consistent with the books of account. We have obtained all the information and explanations which we required for the purpose of our audit and, to the best of our knowledge and belief, no violations of the U.A.E. Commercial Companies Law of 1984 (as amended) or the articles of association of the Bank have occurred during the year which would have had a material effect on the business of the Bank or on its financial position.

Ernst & Young

Signed by

Bassam E Hage

Partner

Ernst & Young

Registration No. 258

30 January 2012

Abu Dhabi

CONSOLIDATED BALANCE SHEET
31 December 2011

	Notes	2011 AED 000	2010 AED 000	2011 US$ 000	2010 US$ 000
Assets					
Cash and balances with U.A.E. Central Bank	3	**9,586,770**	8,526,300	**2,610,065**	2,321,345
Due from banks and financial institutions	27	**12,225,320**	10,267,516	**3,328,429**	2,795,403
Loans and advances	4	**104,719,799**	95,628,016	**28,510,699**	26,035,398
Investments	5	**18,789,456**	14,988,304	**5,115,561**	4,080,671
Investment in associates	6	**443,810**	516,757	**120,830**	140,691
Investment properties	7	**7,537,900**	7,049,254	**2,052,246**	1,919,209
Other assets	8	**3,557,019**	3,156,187	**968,423**	859,294
Property and equipment	9	**620,263**	625,670	**168,871**	170,343
Total assets		**157,480,337**	140,758,004	**42,875,124**	38,322,354
Liabilities					
Due to banks	10	**8,247,336**	1,527,086	**2,245,395**	415,760
Customers' deposits	11	**103,473,733**	98,741,936	**28,171,449**	26,883,185
Term loans	12	**12,694,724**	11,723,675	**3,456,228**	3,191,854
Sukuk financing instruments	13	**2,387,450**	-	**650,000**	-
Other liabilities	14	**3,909,978**	4,134,159	**1,064,519**	1,125,554
Total liabilities		**130,713,221**	116,126,856	**35,587,591**	31,616,353
Equity					
Equity attributable to equity holders of the Bank					
Share capital	16	**1,500,000**	1,375,000	**408,385**	374,353
Treasury shares	17	**-**	(1,056,332)	**-**	(287,594)
Capital notes	18	**4,000,000**	4,000,000	**1,089,028**	1,089,028
Legal reserve	19	**8,780,110**	5,305,110	**2,390,446**	1,444,353
Special reserve	19	**846,648**	846,648	**230,506**	230,506
General reserve	19	**120,000**	120,000	**32,671**	32,671
Revaluation reserve	9	**87,554**	87,554	**23,837**	23,837
Proposed cash dividends	19	**1,500,000**	900,000	**408,385**	245,031
Proposed bonus shares	16	**1,500,000**	-	**408,385**	-
Retained earnings		**8,256,566**	8,955,085	**2,247,908**	2,438,084
Cumulative changes in fair values		**83,053**	11,796	**22,612**	3,212
Foreign currency translation reserve		**(22,503)**	(18,489)	**(6,127)**	(5,034)
Mandatory convertible bonds	20	**-**	3,600,000	**-**	980,125
		26,651,428	24,126,372	**7,256,036**	6,568,572
Non-controlling interests		**115,688**	504,776	**31,497**	137,429
Total equity		**26,767,116**	24,631,148	**7,287,533**	6,706,001
Total equity and liabilities		**157,480,337**	140,758,004	**42,875,124**	38,322,354

Chairman | Managing Director | Chief Executive Officer

The attached notes 1 to 34 form part of these consolidated financial statements.

CONSOLIDATED INCOME STATEMENT
Year ended 31 December 2011

	Notes	2011 AED 000	2010 AED 000	2011 US$ 000	2010 US$ 000
Interest income and income from Islamic financing	21	**7,073,337**	6,578,936	**1,925,766**	1,791,161
Interest expense and Islamic financing expense	22	**(1,994,446)**	(2,321,737)	**(543,002)**	(632,109)
NET INTEREST INCOME AND INCOME FROM ISLAMIC FINANCING		**5,078,891**	4,257,199	**1,382,764**	1,159,052
Share of losses of associates	6	**(7,570)**	(37,803)	**(2,061)**	(10,292)
Other operating income	23	**1,411,561**	2,085,588	**384,307**	567,816
OPERATING INCOME		**6,482,882**	6,304,984	**1,765,010**	1,716,576
General and administrative expenses	24	**(1,224,036)**	(1,121,548)	**(333,252)**	(305,349)
PROFIT FROM OPERATIONS BEFORE IMPAIRED ASSETS CHARGE		**5,258,846**	5,183,436	**1,431,758**	1,411,227
Provision for impairment of loans and advances	25	**(1,553,091)**	(1,639,087)	**(422,840)**	(446,253)
PROFIT FOR THE YEAR		**3,705,755**	3,544,349	**1,008,918**	964,974
Attributable to:					
Equity holders of the Bank		**3,707,275**	3,420,425	**1,009,332**	931,235
Non-controlling interests		**(1,520)**	123,924	**(414)**	33,739
		3,705,755	3,544,349	**1,008,918**	964,974
Basic and diluted earnings per share	26	**AED 2.37**	AED 2.10	**US $ 0.65**	US$ 0.57

The attached notes 1 to 34 form part of these consolidated financial statements.

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
Year ended 31 December 2011

	2011 AED 000	2010 AED 000	2011 US$ 000	2010 US$ 000
PROFIT FOR THE YEAR	**3,705,755**	3,544,349	**1,008,918**	964,974
OTHER COMPREHENSIVE INCOME:				
Net unrealised gains on available for sale investments	**129,746**	190,661	**35,324**	51,909
Realised gains on available for sale investments	**(58,229)**	(63,731)	**(15,853)**	(17,351)
Board of directors remuneration	**(28,000)**	(48,000)	**(7,623)**	(13,068)
Share of changes recognised directly in associates' equity	**(260)**	(146)	**(71)**	(40)
Foreign exchange translation	**(4,014)**	(8,057)	**(1,093)**	(2,194)
Other comprehensive income for the year	**39,243**	70,727	**10,684**	19,256
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	**3,744,998**	3,615,076	**1,019,602**	984,230
Total comprehensive income attributable to:				
Equity holders of the Bank	**3,746,518**	3,495,231	**1,020,016**	951,601
Non-controlling interests	**(1,520)**	119,845	**(414)**	32,629
	3,744,998	3,615,076	**1,019,602**	984,230

The attached notes 1 to 34 form part of these consolidated financial statements.

CONSOLIDATED STATEMENT OF CASH FLOWS
Year ended 31 December 2011

	Notes	2011 AED 000	2010 AED 000	2011 US$ 000	2010 US$ 000
OPERATING ACTIVITIES					
Profit for the year		**3,705,755**	3,544,349	**1,008,918**	964,974
Adjustments for:					
Depreciation	9	**69,993**	61,068	**19,056**	16,626
Loss on sale of property and equipment	23	**29**	3,074	**8**	837
Provision for impairment of loans and advances	25	**1,553,091**	1,639,087	**422,840**	446,253
Loss (gain) on revaluation of investment properties	7	**56,139**	(128,011)	**15,284**	(34,852)
Gain on disposal of development properties	23	**-**	(178,570)	**-**	(48,617)
Gain on sale of investment properties		**(13,863)**	(3,500)	**(3,774)**	(953)
Gain from investments		**(53,490)**	(37,531)	**(14,563)**	(10,218)
Share of loss of associates	6	**7,570**	37,803	**2,061**	10,292
Operating profit before changes in operating assets and liabilities:		**5,325,224**	4,937,769	**1,449,830**	1,344,342
Deposits with banks		**(6,065,335)**	296,726	**(1,651,330)**	80,785
Deposits with U.A.E. Central bank		**(1,500,000)**	(1,300,000)	**(408,386)**	(353,934)
Loans and advances		**(11,573,235)**	(8,323,944)	**(3,150,894)**	(2,266,252)
Other assets		**(403,059)**	1,009,598	**(109,736)**	274,870
Due to banks		**6,720,635**	(413,481)	**1,829,740**	(112,573)
Customers' deposits		**6,144,195**	13,762,756	**1,672,800**	3,747,007
Other liabilities		**(212,820)**	(252,201)	**(57,942)**	(68,663)
Cash (used in) from operations		**(1,564,395)**	9,717,223	**(425,918)**	2,645,582
Directors' remuneration paid		**(48,000)**	(66,000)	**(13,068)**	(17,969)
Net cash (used in) from operating activities		**(1,612,395)**	9,651,223	**(438,986)**	2,627,613
INVESTING ACTIVITIES					
Purchase of investments		**(31,079,038)**	(22,292,565)	**(8,461,486)**	(6,069,307)
Proceeds from redemption and sale of investments		**27,812,612**	20,950,700	**7,572,179**	5,703,975
Purchase of property and equipment	9	**(78,530)**	(51,159)	**(21,380)**	(13,928)
Dividends from associates		**63,750**	6,748	**17,356**	1,837
Additions to investment properties	7	**(661,250)**	(999,494)	**(180,030)**	(272,119)
Proceeds from sale of investment properties		**130,328**	93,000	**35,483**	25,320
Proceeds from sale of development properties		**-**	232,522	**-**	63,306
Proceeds from disposal of property and equipment		**193**	68	**53**	18
Net cash used in investing activities		**(3,811,935)**	(2,060,180)	**(1,037,825)**	(560,898)
FINANCING ACTIVITIES					
Acquisition of treasury shares		**-**	(857,499)	**-**	(233,460)
Dividends paid	19	**(864,830)**	(657,095)	**(235,456)**	(178,899)
Interest on mandatory convertible bonds		**(81,462)**	(115,082)	**(22,179)**	(31,332)
Interest on capital notes		**(240,000)**	(240,000)	**(65,342)**	(65,342)
Sukuk financing instruments		**2,387,450**	-	**650,000**	-
Draw-down of term loans		**1,521,999**	1,909,593	**414,375**	519,900
Repayment of term loans		**(550,950)**	(5,880)	**(150,000)**	(1,601)
Net cash from financing activities		**2,172,207**	34,037	**591,398**	9,266
NET (DECREASE) INCREASE IN CASH AND CASH EQUIVALENTS		**(3,252,123)**	7,625,080	**(885,413)**	2,075,981
Cash and cash equivalents at 1 January		**13,507,292**	5,890,269	**3,677,454**	1,603,667
Net changes in foreign currency translation reserve		**(4,014)**	(8,057)	**(1,093)**	(2,194)
CASH AND CASH EQUIVALENTS AT 31 DECEMBER	27	**10,251,155**	13,507,292	**2,790,948**	3,677,454
Operating cash flows from interest and Islamic financing					
Interest and Islamic financing income received		**6,847,090**	6,410,464	**1,864,168**	1,745,294
Interest and Islamic financing expense paid		**2,028,908**	2,205,297	**552,384**	600,408

The attached notes 1 to 34 form part of these consolidated financial statements.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

31 December 2011

	Attributable to equity holders of the Bank															
	Share capital AED 000	*Treasury shares AED 000*	*Capital notes AED 000*	*Legal reserve AED 000*	*Special reserve AED 000*	*General reserve AED 000*	*Revaluation reserve AED 000*	*Proposed bonus shares AED 000*	*Proposed dividends AED 000*	*Retained earnings AED 000*	*Cumulative changes in fair values AED 000*	*Foreign currency translation reserve AED 000*	*Mandatory convertible bonds AED 000*	*Total AED 000*	*Non-controlling interests AED 000*	*Total equity AED 000*
At 1 January 2010	1,375,000	(198,833)	4,000,000	5,305,110	846,648	120,000	87,554	-	677,000	6,834,854	(114,988)	(14,508)	3,600,000	22,517,837	384,931	22,902,768
Total comprehensive income for the year	-	-	-	-	-	-	-	-	-	3,372,428	126,784	(3,981)	-	3,495,231	119,845	3,615,076
Transfer to dividends payable	-	-	-	-	-	-	-	-	(674,115)	-	-	-	-	(674,115)	-	(674,115)
Transfer of dividends payable on treasury shares	-	-	-	-	-	-	-	-	(2,885)	2,885	-	-	-	-	-	-
Interest on mandatory convertible bonds (note 20)	-	-	-	-	-	-	-	-	-	(115,082)	-	-	-	(115,082)	-	(115,082)
Interest on capital notes (note 18)	-	-	-	-	-	-	-	-	-	(240,000)	-	-	-	(240,000)	-	(240,000)
Net purchase of treasury shares (note 17)	-	(857,499)	-	-	-	-	-	-	-	-	-	-	-	(857,499)	-	(857,499)
Proposed cash dividends (note 19)	-	-	-	-	-	-	-	-	900,000	(900,000)	-	-	-	-	-	-
As of 31 December 2010	1,375,000	(1,056,332)	4,000,000	5,305,110	846,648	120,000	87,554	-	900,000	8,955,085	11,796	(18,489)	3,600,000	24,126,372	504,776	24,631,148
As of 1 January 2011	1,375,000	(1,056,332)	4,000,000	5,305,110	846,648	120,000	87,554	-	900,000	8,955,085	11,796	(18,489)	3,600,000	24,126,372	504,776	24,631,148
Total comprehensive income for the year	-	-	-	-	-	-	-	-	-	3,679,275	71,257	(4,014)	-	3,746,518	(1,520)	3,744,998
Transfer to dividends payable	-	-	-	-	-	-	-	-	(900,000)	-	-	-	-	(900,000)	-	(900,000)
Mandatory convertible bonds converted to shares (note 20)	125,000	-	-	-	-	-	-	-	-	-	-	-	(125,000)	-	-	-
Share premium on conversion of mandatory convertible bonds transferred to legal reserve (note 20)	-	-	-	3,475,000	-	-	-	-	-	-	-	-	(3,475,000)	-	-	-
Interest on mandatory convertible bonds (note 20)	-	-	-	-	-	-	-	-	-	(81,462)	-	-	-	(81,462)	-	(81,462)
Interest on capital notes (note 18)	-	-	-	-	-	-	-	-	-	(240,000)	-	-	-	(240,000)	-	(240,000)
Non controlling interests derecognized (note 1)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(387,568)	(387,568)
Proposed cash dividends (note 19)	-	-	-	-	-	-	-	-	1,500,000	(1,500,000)	-	-	-	-	-	-
Proposed bonus shares (note 19)	-	-	-	-	-	-	-	1,500,000	-	(1,500,000)	-	-	-	-	-	-
Treasury shares distributed (note 17)	-	1,056,332	-	-	-	-	-	-	-	(1,056,332)	-	-	-	-	-	-
As of 31 December 2011	**1,500,000**	**-**	**4,000,000**	**8,780,110**	**846,648**	**120,000**	**87,554**	**1,500,000**	**1,500,000**	**8,256,566**	**83,053**	**(22,503)**	**-**	**26,651,428**	**115,688**	**26,767,116**

The attached notes 1 to 34 form part of these consolidated financial statements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

31 December 2011

1 ACTIVITIES

First Gulf Bank PJSC ("the Bank") is a public joint stock company with limited liability incorporated in Abu Dhabi in accordance with U.A.E. Federal Law No. (8) of 1984 (as amended). The Bank carries on commercial and retail banking, investment and real estate activities through its Head Office, branches and subsidiaries in Abu Dhabi and its other branches in Dubai, Ajman, Sharjah, Fujairah, Al Ain and Ras Al Khaimah. The representative office of the Bank in Singapore has commenced operations from September 2007 and was upgraded to a wholesale bank in August 2009. The Bank has established a representative office in India in September 2009 and in Qatar in November 2009. The representative office in Qatar was upgraded to a branch in May 2011.

Up until February 2011, the Bank had a partially owned subsidiary in Libya, First Gulf Libyan Bank (the "Previous Subsidiary"), that carried out commercial banking activities. Effective March 2011, the Bank has disassociated itself from the Previous Subsidiary by suspending its management agreement and all the Bank nominated members in the Previous Subsidiary board have resigned. As a result of these changes, the Bank de-recognised the assets, liabilities and non-controlling interests relating to the Previous Subsidiary. As of that date, the investment in the Previous Subsidiary with a net carrying amount of AED 388 million was classified as an available for sale investment (investments in equities – unquoted (note 5)).

In June 2011, the Bank established "FGB Sukuk Company Limited", a wholly owned subsidiary incorporated in the Cayman Islands for the issuance of Sukuk financing instruments (note 13).

The registered head office of the Bank is at PO Box 6316, Abu Dhabi, United Arab Emirates (U.A.E.). The principal activities of the Bank are described in note 31.

The consolidated financial statements of the Bank were authorised for issue by the Board of Directors on 30 January 2012.

2 SIGNIFICANT ACCOUNTING POLICIES

Basis of preparation

The consolidated financial statements have been prepared in accordance with International Financial Reporting Standards as issued by the International Accounting Standard Board (IASB) and applicable requirements of the Laws in the U.A.E.

The consolidated financial statements have been prepared under the historical cost convention except for investment securities (other than held to maturity investments), derivative financial instruments, investment properties and land included in property and equipment which have been measured at fair value. The carrying values of recognised assets and liabilities that are hedged items in fair value hedges, and otherwise carried at cost, are adjusted to record changes in fair value attributable to the risks that are being hedged.

The consolidated financial statements of the Bank are prepared in United Arab Emirates Dirhams (AED) which is the functional currency of the Bank. The consolidated balance sheet, consolidated income statement and consolidated statement of cash flows in US Dollar (US$) are presented solely for the convenience of the readers of the consolidated financial statements. The AED amounts have been translated at the rate of AED 3.673 to US$ 1 (2010: AED 3.673 to US$ 1) and all values are rounded to the nearest thousand AED except where otherwise indicated.

2 SIGNIFICANT ACCOUNTING POLICIES *continued*

Changes in accounting policies and disclosures
The accounting policies adopted are consistent with those of the previous financial year, except as follows:

Amendments to the following IFRSs and improvements did not have any impact on the accounting policies, financial position or performance of the Bank:

- IAS 24 Related Party Disclosures (amendment) effective 1 January 2011
- IAS 32 Financial Instruments: Presentation (amendment) effective 1 February 2010
- IFRIC 14 Prepayments of a Minimum Funding Requirement (amendment) effective 1 January 2011
- Improvements to IFRSs (May 2010)

The adoption of the amendments and improvements is described below:

IAS 24 *Related Party Transactions* (Amendment)
The IASB issued an amendment to IAS 24 that clarifies the definitions of a related party. The new definitions emphasise a symmetrical view of related party relationships and clarifies the circumstances in which persons and key management personnel affect related party relationships of an entity. In addition, the amendment introduces an exemption from the general related party disclosure requirements for transactions with government and entities that are controlled, jointly controlled or significantly influenced by the same government as the reporting entity. The adoption of the amendment did not have any impact on the financial position or performance of the Bank.

IAS 32 *Financial Instruments: Presentation* (Amendment)
The IASB issued an amendment that alters the definition of a financial liability in IAS 32 to enable entities to classify rights issues and certain options or warrants as equity instruments. The amendment is applicable if the rights are given pro rata to all of the existing owners of the same class of an entity's non-derivative equity instruments, to acquire a fixed number of the entity's own equity instruments for a fixed amount in any currency. The amendment has had no effect on the financial position or performance of the Bank because the Bank does not have these type of instruments.

IFRIC 14 *Prepayments of a Minimum Funding Requirement* (Amendment)
The amendment removes an unintended consequence when an entity is subject to minimum funding requirements and makes an early payment of contributions to cover such requirements. The amendment permits a prepayment of future service cost by the entity to be recognised as a pension asset. The amendment has had no effect on the financial position or performance of the Bank.

Improvements to IFRSs
In May 2010, the IASB issued its third omnibus of amendments to its standards, primarily with a view to removing inconsistencies and clarifying wording. There are separate transitional provisions for each standard. The adoption of the following amendments resulted in changes to accounting policies, but no impact on the financial position or performance of the Bank.

- IAS 1 *Presentation of Financial Statements:* The amendment clarifies that an entity may present an analysis of each component of other comprehensive income either in the statement of changes in equity or in the notes to the financial statements. The amendment did not have any impact on the financial position or performance of the Bank as no further analysis is required for components of other comprehensive income in 2010 and 2011.

2 SIGNIFICANT ACCOUNTING POLICIES *continued*

Improvements to IFRSs *continued*
Other amendments resulting from Improvements to IFRSs to the following standards did not have any impact on the accounting policies, financial position or performance of the Bank:

- IFRS 3 *Business Combinations* (Contingent consideration arising from business combination prior to adoption of IFRS 3 (as revised in 2008))
- IFRS 3 *Business Combinations* (Un-replaced and voluntarily replaced share-based payment awards)
- IAS 27 *Consolidated and Separate Financial Statements*
- IAS 34 *Interim Financial Statements*

The following interpretation and amendments to interpretations did not have any impact on the accounting policies, financial position or performance of the Bank:

- IFRIC 13 *Customer Loyalty Programmes* (determining the fair value of award credits)
- IFRIC 19 *Extinguishing Financial Liabilities with Equity Instruments*

Standards issued but not yet effective
Standards issued but not yet effective up to the date of the issuance of the Bank's financial statements are listed below. This listing is of standards and interpretations issued, which the Bank reasonably expects to be applicable at a future date. The Bank intends to adopt those standards when they become applicable.

IAS 1 *Financial Statement Presentation - Presentation of Items of Other Comprehensive Income*
The amendments to IAS 1 change the grouping of items presented in OCI. Items that could be reclassified (or 'recycled') to profit or loss at a future point in time (for example, upon derecognition or settlement) would be presented separately from items that will never be reclassified. The amendment affects presentation only and has no impact on the Bank's financial position or performance. The amendment becomes effective for annual periods beginning on or after 1 July 2012.

IFRS 7 *Financial Instruments: Disclosures - Enhanced Derecognition Disclosure Requirements*
The amendment requires additional disclosure about financial assets that have been transferred but not derecognised to enable the user of the financial statements to understand the relationship with those assets that have not been derecognised and their associated liabilities. In addition, the amendment requires disclosures about continuing involvement in derecognised assets to enable the user to evaluate the nature of, and risks associated with, the entity's continuing involvement in those derecognised assets. The amendment becomes effective for annual periods beginning on or after 1 July 2011. The amendment affects disclosure only and has no impact on the Bank's financial position or performance.

IFRS 9 *Financial Instruments: Classification and Measurement*
IFRS 9 as issued reflects the first phase of the IASBs work on the replacement of IAS 39 and applies to classification and measurement of financial assets and financial liabilities as defined in IAS 39. The standard is effective for annual periods beginning on or after 1 January 2013. In subsequent phases, the IASB will address hedge accounting and impairment of financial assets. The adoption of the first phase of IFRS 9 will have an effect on the classification and measurement of the Bank's financial assets, but will potentially have no impact on classification and measurements of financial liabilities. The Bank will quantify the effect in conjunction with the other phases, when issued, to present a comprehensive picture.

2 SIGNIFICANT ACCOUNTING POLICIES *continued*

Standards issued but not yet effective *continued*

IFRS 10 *Consolidated Financial Statements*
IFRS 10 replaces the portion of IAS 27 *Consolidated and Separate Financial Statements* that addresses the accounting for consolidated financial statements. It also includes the issues raised in SIC-12 *Consolidation - Special Purpose Entities*.

IFRS 10 establishes a single control model that applies to all entities including special purpose entities. The changes introduced by IFRS 10 will require management to exercise significant judgement to determine which entities are controlled, and therefore, are required to be consolidated by a parent, compared with the requirements that were in IAS 27.

This standard becomes effective for annual periods beginning on or after 1 January 2013.

IFRS 12 *Disclosure of Involvement with Other Entities*
IFRS 12 includes all of the disclosures that were previously in IAS 27 related to consolidated financial statements, as well as all of the disclosures that were previously included in IAS 31 and IAS 28. These disclosures relate to an entity's interests in subsidiaries, joint arrangements, associates and structured entities. A number of new disclosures are also required. This standard becomes effective for annual periods beginning on or after 1 January 2013.

IFRS 13 *Fair Value Measurement*
IFRS 13 establishes a single source of guidance under IFRS for all fair value measurements. IFRS 13 does not change when an entity is required to use fair value, but rather provides guidance on how to measure fair value under IFRS when fair value is required or permitted. This standard becomes effective for annual periods beginning on or after 1 January 2013.

The Bank however, expects no impact from the adoption of the amendments on its financial position or performance.

Basis of consolidation
The consolidated financial statements comprise the financial statements of the Bank and those of its following subsidiaries:

	Activity	*Country of incorporation*	*Percentage of holding*	
			2011	*2010*
Mismak Properties Co. LLC (Mismak)	Real estate investments	United Arab Emirates	**100%**	100%
Radman Properties Co. LLC (subsidiary of Mismak)	Real estate investments	United Arab Emirates	**80%**	80%
First Merchant International LLC	Merchant banking services	United Arab Emirates	**100%**	100%
FGB Sukuk Company Limited	Special purpose vehicle	Cayman Islands	**100%**	-
First Gulf Libyan Bank	Banking services	Libya	**-**	50%
First Gulf Properties LLC	Management and brokerage of real estate properties	United Arab Emirates	**100%**	-

The financial statements of the subsidiaries are prepared for the same reporting year as the Bank, using consistent accounting policies. All intra-group balances, transactions, income and expenses and profits and losses resulting from intra-group transactions that are recognised in assets, are eliminated in full.

Subsidiaries are fully consolidated from the date on which control is transferred to the Bank. The Bank exercises control over all of the subsidiaries listed above. Control is achieved where the Bank has the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities. The results of subsidiaries acquired or disposed of during the year are included in the consolidated income statement from the date of acquisition or up to the date of disposal, as appropriate. Losses within a subsidiary are attributed to the non-controlling interest even if that results in a deficit balance.

Non-controlling interests represent the portion of the profit and net assets in subsidiaries not held by the Bank and are presented separately in the consolidated income statement and within equity in the consolidated balance sheet, separately from the Bank shareholders' equity.



2 SIGNIFICANT ACCOUNTING POLICIES *continued*

Due from banks
Due from banks are stated at amortised cost using the effective interest rate less any amounts written off and provision for impairment.

Trading investments
These are initially recognised at cost, being the fair value of the consideration given and subsequently remeasured at fair value. All related realised and unrealised gains or losses are included in the consolidated income statement.

Investments
These are classified as follows:
- Held to maturity
- Available for sale
- Investments carried at fair value through income statement

All investments are initially recognised at cost, being the fair value of the consideration given including acquisition charges (except for investments carried at fair value through the income statement) associated with the investment. Premiums and discounts on investments (excluding those carried at fair value through income statement) are amortised using the effective interest rate method and taken to interest income.

Held to maturity
Investments which have fixed or determinable payments and are intended to be held to maturity, are carried at amortised cost, less provision for impairment in value.

Available for sale
After initial recognition, investments which are classified "available for sale" are remeasured at fair value, unless fair value cannot be reliably determined in which case they are measured at cost less impairment. Fair value changes which are not part of an effective hedging relationship, are reported as a separate component of equity until the investment is derecognised or the investment is determined to be impaired. On derecognition or impairment the cumulative gain or loss previously reported as "cumulative changes in fair value" within equity, is included in the consolidated income statement.

Investments carried at fair value through income statement
Investments are classified as fair value through income statement if the fair value of the investment can be reliably measured and the classification as fair value through income statement is as per the documented strategy of the Bank. Investments classified as "Investments at fair value through income statement" upon initial recognition are remeasured at fair value with all changes in fair value being recorded in the consolidated income statement.

Investment in associates
The Bank's investment in associates is accounted for under the equity method of accounting. An associate is an entity in which the Bank has significant influence and which is neither a subsidiary nor a joint venture.

Under the equity method, the investment in the associate is carried in the balance sheet at cost plus post-acquisition changes in the Bank's share of net assets of the associate. Losses in excess of the cost of the investment in an associate are recognised when the Bank has incurred obligations on its behalf. Goodwill relating to the associate is included in the carrying amount of the investment and is neither amortised nor individually tested for impairment.

The Bank's share of the result of operations of associates is included in the consolidated income statement. Unrealised profits and losses from transactions between the Bank and an associate are eliminated to the extent of the Bank's interest in the associate. The reporting dates of associates and the Bank are identical and the associates' accounting policies conform to those used by the Bank for like transactions and events in similar circumstances. After application of the equity method, the Bank determines whether it is necessary to recognise an additional impairment loss on the Bank's investment in associates. The Bank determines at each reporting date whether there is any objective evidence that the investment in the associate is impaired. If this is the case then the Bank calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying value and recognises the amount in the "share of profits (losses) of associates" in the consolidated income statement.

2 SIGNIFICANT ACCOUNTING POLICIES *continued*

Repurchase and reverse repurchase agreements
Assets sold with a simultaneous commitment to repurchase at a specified future date ("Repo") are not derecognised. The counterparty liability for amounts received under these agreements is included in due to banks, customers' deposits and term loans in the consolidated balance sheet, as appropriate. The difference between the sale and repurchase price is treated as interest expense which is accrued over the life of the repo agreement using the effective interest rate.

Conversely, securities purchased under agreements to resell at a specified future date ("Reverse Repos") are not recognised on the consolidated balance sheet. The corresponding cash paid, including accrued interest, is included in loans and advances. The difference between the purchase price and resale prices is treated as interest income which is accrued, using the effective interest rate, over the life of the Reverse Repos.

Loans and advances
These are stated at amortised cost, adjusted for effective fair value hedges and stated net of interest suspended less any amounts written off and provision for impairment. Impaired loans are written off only when all possible courses of action to achieve recovery have proved unsuccessful. Amortised cost is calculated using the effective interest rate method.

Islamic financing
Islamic financing comprise principally of floating profit-rate Ijara and Murabaha contracts which are stated at cost less any provisions for impairment.

Impairment and uncollectibility of financial assets
An assessment is made at each balance sheet date to determine whether there is objective evidence that a specific financial asset may be impaired. If such evidence exists, any impairment loss is recognised in the income statement.

Impairment is determined as follows:
a) for assets carried at amortised cost, impairment is based on estimated cash flows discounted at the original effective interest rate.
b) for assets carried at fair value, impairment is the difference between cost and fair value.
c) for assets carried at cost, impairment is based on the present value of future cash flows discounted at the current market rate of return for a similar financial asset.

For available for sale equity investments, reversals of impairment losses are recorded as increases in cumulative changes in fair value through equity.

In addition, a provision is made to cover collective impairment for specific groups of assets carried at amortised cost, where there is a measurable decrease in estimated future cash flows.

Government grants
Government grants are recognised where there is reasonable assurance that the grant will be received and all attaching conditions will be complied with. When the grant relates to an expense item, it is recognised as income over the period necessary to match the grant on a systematic basis to the costs that it is intended to compensate. Where the Bank receives non-monetary grants with no conditions attached thereto, the asset and grant are recorded at fair value and the grant is recognised in the consolidated income statement in the period in which it is received. In the case of other non-monetary grants, the grant is set up as deferred income at its fair value and is released to the consolidated income statement over the expected useful life of the relevant asset by equal annual instalments.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
31 December 2011

2 SIGNIFICANT ACCOUNTING POLICIES *continued*

Investment properties
Investment properties are measured initially at cost, including transaction costs. Subsequent to initial recognition, investment properties are stated at fair value which reflects market conditions at the balance sheet date. Gains or losses arising from changes in the fair values of investment properties are included in the consolidated income statement in the year in which they arise.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the consolidated income statement in the year of retirement or disposal.

Transfers are made to or from investment property only when there is a change in use. For a transfer from properties held for sale, any difference between the fair value of the property at the date of transfer and its previous carrying amount shall be recognised in the consolidated income statement.

Property and equipment
Property and equipment are initially recorded at cost. The carrying amounts are reviewed at each balance sheet date to assess whether they are recorded in excess of their recoverable amount and, where carrying values exceed the recoverable amount, assets are written down. Land is measured at fair value based on valuations performed by independent professional valuers. Valuations are performed frequently to ensure that the fair value of revalued land does not differ materially from its carrying amount.

Any revaluation surplus is credited to the revaluation reserve included in the equity section of the consolidated statement of financial position, except to the extent that it reverses a revaluation decrease of the same asset previously recognised in the consolidated income statement, in which case the increase is recognised in the consolidated income statement. A revaluation deficit is recognised in the consolidated income statement, except to the extent that it offsets an existing surplus on the same asset recognised in the revaluation reserve.

Depreciation is provided on a straight-line basis on all property and equipment, other than freehold land which is determined to have an indefinite life.

The estimated useful lives of the assets for the calculation of depreciation are as follows:

Buildings	20 years
Motor vehicles	3 years
Furniture, fixtures and equipment	4 years
Computer hardware and software	4 years

Capital work-in progress is initially recorded at cost, and upon completion is transferred to the appropriate category of property and equipment and thereafter depreciated.

Provisions
Provisions are recognised when the Bank has a present obligation (legal or constructive) arising from a past event and the costs to settle the obligation are both probable and able to be reliably measured.

Deposits
All money market and customer deposits are carried at amortised cost less amounts repaid.

2 SIGNIFICANT ACCOUNTING POLICIES *continued*

Treasury shares
Own equity instruments which are acquired (treasury shares) are deducted from the equity and accounted for at weighted average cost. No gain or loss is recognised in the consolidated income statement on the purchase, sale, issue or cancelation of the Bank's own equity instruments. Any difference between the carrying amount and the consideration, if reissued, is recognised in share premium. If treasury shares are distributed as part of a bonus share issue, the cost of the shares is charged against retained earnings. Voting rights relating to treasury shares are nullified for the Bank and no dividends are allocated to them respectively.

Fiduciary assets
Assets held in trust or in a fiduciary capacity are not treated as assets of the Bank and accordingly are not included in these consolidated financial statements.

Revenue recognition
Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Bank and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised:

Interest income and expense
For all financial instruments measured at amortised cost and interest bearing financial instruments classified as available for sale investments, interest income or expense is recorded at the effective interest rate, which is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or financial liability. The calculation takes into account all contractual terms of the financial instrument and includes any fees or incremental costs that are directly attributable to the instrument and are an integral part of the effective interest rate, but not future credit losses. The carrying amount of the financial asset or financial liability is adjusted if the Bank revises its estimates of payments or receipts. The adjusted carrying amount is calculated based on the original effective interest rate and the change in carrying amount is recorded as interest income or expense.

Once the recorded value of a financial asset or a group of similar financial assets has been reduced due to an impairment loss, interest income continues to be recognised.

Fee and commission income
The Bank earns fee and commission income from a diverse range of services it provides to its customers. Fee income can be divided into the following two categories:

Fee income earned from services that are provided over a certain period of time
Fees earned for the provision of services over a period of time are accrued over that period. These fees include commission income and asset management, custody and other management and advisory fees. Loan commitment fees for loans that are likely to be drawn down and other credit related fees are deferred (together with any incremental costs) and recognised as an adjustment to the effective interest rate on the loan.

Fee income from providing transaction services
Fees arising from negotiating or participating in the negotiation of a transaction for a third party – such as the arrangement of the acquisition of shares or other securities or the purchase or sale of businesses – are recognised on completion of the underlying transaction. Fees or components of fees that are linked to a certain performance are recognised after fulfilling the corresponding criteria.

Dividend income
Revenue is recognised when the Bank's right to receive the payment is established.



2 SIGNIFICANT ACCOUNTING POLICIES *continued*

Fee income from providing transaction services *continued*

Net trading income
Results arising from trading activities include all gains and losses from changes in fair value and related interest income or expense and dividends for financial assets and financial liabilities held for trading. This includes any ineffectiveness recorded in hedging transactions.

Rental income
Rental income arising on investment properties is accounted for on a straight-line basis over the lease terms on ongoing leases and is recorded in the income statement in 'Other operating income'.

Income from Islamic financing
Income from Islamic financing is recognised on a time-proportion basis based on principal amounts outstanding.

Foreign currencies
Monetary assets and liabilities in foreign currencies are translated into AED at rates of exchange prevailing at the balance sheet date. Any gains and losses are taken to the consolidated income statement.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

As at the reporting date, the assets and liabilities of foreign operations are translated into the Bank's presentation currency at the rate of exchange ruling at the balance sheet date, and their income statements are translated at the weighted average exchange rates for the year. Exchange differences arising on translation are taken directly to a separate component of equity. On disposal of a foreign operation, the deferred cumulative amount recognised in the equity relating to a particular foreign operation is recognised in the consolidated income statement.

Cash and cash equivalents
Cash and cash equivalents comprise cash, balances with U.A.E. Central Bank and due from banks and other financial institutions with original maturities of less than three months.

Employees' pension and end of service benefits
The Bank provides end of service benefits for its employees. The entitlement to these benefits is based upon the employees' length of service and completion of a minimum service period. The expected costs of these benefits are accrued over the period of employment.

With respect to its UAE national employees, the Bank makes contributions to the relevant government pension scheme calculated as a percentage of the employees' salaries. The Bank's obligations are limited to these contributions, which are expensed when due.

Leases
Finance leases, which transfer to the Bank substantially all the risks and benefits incidental to ownership of the leased item, are capitalised at the inception of the lease at the fair value of the leased asset or, if lower, at the present value of the minimum lease payments. Lease payments are apportioned between the finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are charged directly against income. Capitalised leased assets are depreciated over the shorter of the estimated useful life of the asset or the lease term.

Leases where the lessor retains substantially all the risks and benefits of ownership of the asset are classified as operating leases. Operating lease payments are recognised as an expense in the consolidated income statement on a straight line basis over the shorter of the lease term or the estimated useful life of the asset.

2 SIGNIFICANT ACCOUNTING POLICIES *continued*

Derivatives
The Bank enters into derivative financial instruments including forwards, swaps, futures, options and swaptions in the foreign exchange and capital markets. Derivatives are stated at fair value. The fair value of a derivative is the equivalent of the unrealised gain or loss from marking to market the derivative using prevailing market rates or internal pricing models. Derivatives with positive market values (unrealised gains) are included in other assets and derivatives with negative market values (unrealised losses) are included in other liabilities in the consolidated balance sheet.

Hedges
For the purposes of hedge accounting, hedges are classified into two categories: (a) fair value hedges which hedge the exposure to changes in the fair value of a recognised asset or liability; and (b) cash flow hedges which hedge exposure to variability in cash flows that is either attributable to a particular risk associated with a recognised asset or liability or a forecasted transaction.

In relation to fair value hedges which meet the conditions for hedge accounting, any gain or loss from remeasuring the hedging instrument to fair value is recognised immediately in the consolidated income statement. The hedged item is adjusted for fair value changes relating to the risk being hedged and the difference is recognised in the consolidated income statement.

In relation to cash flow hedges which meet the conditions for hedge accounting, the portion of the gain or loss on the hedging instrument that is determined to be an effective hedge is recognised initially in equity and the ineffective portion is recognised in the consolidated income statement. The gains or losses on effective cash flow hedges recognised initially in equity are either transferred to the consolidated income statement in the period in which the hedged transaction impacts the consolidated income statement or included in the initial measurement of the cost of the related asset or liability..

For hedges which do not qualify for hedge accounting, any gains or losses arising from changes in the fair value of the hedging instrument are taken to the consolidated income statement.

Hedge accounting is discontinued when the hedging instrument expires or is sold, terminated or exercised, or no longer qualifies for hedge accounting. At that point in time, in the case of a cash flow hedge, any cumulative gains or losses on the hedging instrument initially recognised in equity remains in equity until the forecasted transaction occurs. Where the hedged transaction is no longer expected to occur, the net cumulative gains or losses initially recognised in equity are transferred to the consolidated income statement.

In the case of a fair value hedge, for hedged items recorded at amortised cost, using the effective interest rate method, the difference between the carrying value of the hedged item on termination and the face value is amortised over the remaining term of the original hedge. If the hedged item is derecognised, the unamortised fair value adjustment is recognised immediately in the consolidated income statement.

Trade and settlement date accounting
Purchases and sales of financial assets are recognised on the trade date, i.e. the date that the Bank commits to purchase or sell the asset.

2 SIGNIFICANT ACCOUNTING POLICIES *continued*

Offsetting
Financial assets and financial liabilities are only offset and the net amount reported in the consolidated balance sheet when there is a legally enforceable right to set off the recognised amounts and the Bank intends to either settle on a net basis, or to realise the asset and settle the liability simultaneously.

Financial guarantees
Financial guarantees are defined as contracts whereby an entity undertakes to make specific payments for a third party if the latter does not do so. Financial guarantees are reviewed periodically so as to determine the credit risk to which they are exposed and, if appropriate, to consider whether a provision is required. The credit risk is determined by application of criteria similar to those established for quantifying impairment losses on loans and advances. If a specific provision is required for financial guarantees, the related unearned commissions recognised under other liabilities in the consolidated balance sheet are reclassified to the appropriate provision.

De-recognition of financial assets and liabilities
The Bank de-recognises all or part of a financial asset when the contractual rights to the cash flows on the asset expire or when the Bank has transferred the contractual rights to receive the cash flows and substantially all of the risks and rewards linked to the ownership of the asset. The Bank derecognises all or part of a financial liability when the liability is extinguished in full or in part.

Fair values
For investments and derivatives quoted in an active market, fair value is determined by reference to quoted market prices. Bid prices are used for assets and ask prices are used for liabilities. The fair value of investments in mutual funds, private equity funds or similar investment vehicles are based on the last net asset value published by the fund manager. For other investments, a reasonable estimate of the fair value is determined by reference to the price of recent market transactions involving such investments, current market value of instruments which are substantially the same, or is based on the expected discounted cash flows.

The estimated fair value of deposits with no stated maturity, which includes non-interest bearing deposits, is the amount payable on demand.

The fair value of forward exchange contracts is calculated by reference to forward exchange rates with similar maturities. For other derivatives without quoted prices in an active market, fair value is determined based on quotations received from counter party financial institutions or established third party valuation models.

The fair value of unquoted investments is determined by reference to discounted cash flows, pricing models, net asset base of investee companies or broker over-the-counter quotes.

Significant accounting judgements and estimates
In the process of applying the Bank's accounting policies, management has used its judgements and made estimates in determining the amounts recognised in the financial statements. The most significant use of judgments and estimates are as follows:

Going concern
The Bank's management has made an assessment of the Bank's ability to continue as a going concern and is satisfied that the Bank has the resources to continue in business for the foreseeable future. Furthermore, management is not aware of any material uncertainties that may cast significant doubt upon the Bank's ability to continue as a going concern. Therefore, the financial statements continue to be prepared on the going concern basis.

2 SIGNIFICANT ACCOUNTING POLICIES *continued*

Significant accounting judgements and estimates *continued*

Classification of investment properties under construction
Management decides on acquisition of a property whether it should be classified as investment property, property and equipment or as properties held for sale.

Properties acquired by the Bank are recorded as investment properties if these were acquired for rental purposes or capital appreciation.

Properties held for own use is recorded as property and equipment.

Properties are recorded as held for sale, at cost, if their carrying amounts will be recovered through a sale transaction.

Classification of investments
Management decides on acquisition of an investment whether it should be classified as held to maturity, held for trading, carried at fair value through income statement, or available for sale.

For those deemed to be held to maturity, management ensures that the requirements of IAS 39 are met and in particular the Bank has the intention and ability to hold these to maturity.

The Bank classifies investments as trading if they are acquired primarily for the purpose of making a short term profit by the dealers.

Classification of investments as fair value through income statement depends on how management monitors the performance of these investments. When they are not classified as held for trading but have readily available reliable fair values and the changes in fair values are reported as part of profit or loss in the management accounts, they are classified as fair value through income statement.

All other investments are classified as available for sale.

Impairment of investments
The Bank treats available for sale equity investments as impaired when there has been a significant or prolonged decline in the fair value below its cost or where other objective evidence of impairment exists. The determination of what is 'significant' or 'prolonged' requires judgement for which management takes into consideration, amongst other factors, share price volatility and the underlying asset base of the investee companies.

Impairment losses on loans and advances
The Bank reviews its problem loans and advances on a quarterly basis to assess whether a provision for impairment should be recorded in the consolidated income statement. In particular, considerable judgment by management is required in the estimation of the amount and timing of future cash flows when determining the level of provisions required. Such estimates are necessarily based on assumptions about several factors involving varying degrees of judgment and uncertainty, and actual results may differ resulting in future changes to such provisions.

Collective impairment provisions on loans and advances
In addition to specific provisions against individually significant loans and advances, the Bank also makes a collective impairment provision against loans and advances which although not specifically identified as requiring a specific provision have a greater risk of default than when originally granted. The amount of the provision is based on the guidelines issued by the Central Bank of the UAE.

3 CASH AND BALANCES WITH U.A.E. CENTRAL BANK

	2011	*2010*
	AED 000	*AED 000*
Cash on hand	**285,399**	256,527
Balances with U.A.E. Central Bank	**9,301,371**	8,269,773
	9,586,770	8,526,300

Balances with U.A.E. Central Bank include AED 2,390,473 thousand (2010: AED 2,598,812 thousand) representing mandatory cash reserve deposits and AED 6,000,000 thousand (2010: AED 4,500,000 thousand) representing certificates of deposit. These are not available for use in the Bank's day-to-day operations.

4 LOANS AND ADVANCES

The composition of loans and advances portfolio is as follows:

	2011	*2010*
	AED 000	*AED 000*
Economic Sector		
Agriculture	**110,190**	292,486
Energy	**1,367,416**	797,682
Trading	**7,654,632**	3,702,956
Construction	**4,740,364**	4,840,280
Transport	**906,138**	723,250
Personal – Retail loans and credit cards	**24,595,008**	22,570,952
Personal – Retail mortgages	**3,188,113**	3,015,674
Personal – Retail mortgages - National Housing Loans (note 11)	**10,369,369**	8,343,915
Personal - Others	**6,006,511**	6,085,542
Government	**338,857**	532,724
Share financing	**3,289,929**	4,045,724
Real estate	**19,521,812**	18,444,500
Services	**14,300,076**	15,884,730
Public sector	**9,206,874**	6,268,145
Manufacturing	**2,746,165**	3,374,239
Total	**108,341,454**	98,922,799
Less provision for impaired loans and advances	**(3,621,655)**	(3,294,783)
Total	**104,719,799**	95,628,016
Representing:		
Conventional loans and advances	**99,287,907**	89,857,949
Islamic financing	**5,431,892**	5,770,067
Total	**104,719,799**	95,628,016

Loans and advances include an amount of nil (2010: AED 55,095 thousand) being amounts lent against the purchase of debt securities under reverse repurchase agreements with arrangements to resell them at a fixed future date.

4 LOANS AND ADVANCES *continued*

Loans and advances to customers are stated net of provision for impairment. The movements in the provision during the year were as follows:

	2011	*2010*
	AED 000	*AED 000*
At 1 January	**3,294,783**	2,529,782
Amounts written off	**(1,132,968)**	(847,180)
Recoveries (note 25)	**(41,465)**	(17,146)
Charge for the year (note 25)	**1,594,556**	1,656,233
Notional interest on impaired loans and advances (note 21)	**(93,251)**	(26,906)
At 31 December	**3,621,655**	3,294,783

At 31 December 2010, the provision for impaired loans and advances included AED 82 million in respect of loans and advances to Dubai World group totaling AED 880 million, which were in the process of being restructured. During 2011, these loans and advances were restructured and have now been upgraded as the accounts are now performing as at 31 December 2011.

At 31 December 2011, the provision for impaired loans and advances includes an amount of AED 62 million in respect of loans and advances to subsidiaries of Dubai Holding of AED 621 million, which are in the process of being restructured. At 31 December 2011, other balances in accounts classified as impaired amounted to AED 3,681 million (2010: AED 3,687 million).

In certain cases, the Bank continues to carry classified doubtful debts and delinquent accounts on its books even after making 100% provision for impairment. Where appropriate, interest is recorded and suspended on these accounts for legal considerations. Interest income on impaired loans is recognised in accordance with IAS 39: Financial Instruments: Recognition and Measurement. The notional interest on impaired loans and advances charged during the year amounted to AED 93,251 thousand (2010: AED 26,906 thousand).

During 2011, National Housing Loans increased by AED 2,850,112 thousand (2010: AED 3,370,549 thousand) which was partially offset by the waiver of AED 824,658 thousand (2010: AED 1,442,726 thousand) representing a discount of 25 % (2010: 25%) granted to nearly 1,700 borrowers (2010: 3,000 borrowers) on the completion of their houses as directed by the Private Housing Loans Authority for Nationals. The amount waived was reduced from the corresponding Abu Dhabi Government deposit (note 11). This is a non-cash transaction which has been excluded from the statement of cash flows.

5 INVESTMENTS

		2011	*2010*
		AED 000	*AED 000*
Carried at fair value through income statement			
Investments in managed funds		**152,932**	138,922
Investments in equities	- Quoted	**216,331**	246,330
Debt securities		**133,895**	21,579
Available for sale investments			
Investments in equities	- Unquoted	**464,887**	80,243
Investments in private equity funds		**1,379,359**	1,268,300
Debt securities	- Quoted	**2,299,673**	767,248
	- Unquoted	**138,210**	187,522
Structured note	- Quoted	**-**	183,650
Held to maturity investments			
Debt securities	- Quoted	**11,172,251**	9,854,296
	- Unquoted	**2,621,933**	2,240,214
Structured note	- Unquoted	**209,985**	-
Total		**18,789,456**	14,988,304
Analysis of debt securities:			
Fixed rate		**14,113,062**	11,275,959
Floating rate		**2,462,885**	1,978,550
		16,575,947	13,254,509
Geographic analysis of investments is as follows:			
Within U.A.E.		**8,429,634**	2,985,082
Outside U.A.E.		**10,359,822**	12,003,222
		18,789,456	14,988,304

Investments in managed funds represent investments made in managed hedge funds which invest in equities, debt securities and derivatives with the objective of generating superior returns on a risk-adjusted basis using a diversified portfolio approach.

Investments in private equity funds represent investments made in funds and limited partnerships to fund primary investment commitments in target companies with the objective of generating returns outperforming the public equity markets.

Investments in equities amounting to AED 23,123 thousand (2010: AED 43,817 thousand) are held in the name of third parties with the beneficial interest assigned to the Bank.

Debt securities represent bonds with maturities ranging up to 10 years from the balance sheet date. Of the debt securities at 31 December 2011, 69% (2010: 85%) comprise bonds which are either guaranteed by governments or issued by entities owned by governments.

5 INVESTMENTS *continued*

At 31 December 2011, the Bank's largest holding of debt securities issued by a single issuer accounted for 33% (2010: 69%) of total investments.

At 31 December 2011, debt securities with a carrying value of AED 10,803,862 thousand (2010: AED 10,246,435 thousand) were pledged under repurchase agreements with overseas financial institutions and banks with a principal value of AED 10,355,860 thousand (2010: AED 10,120,763 thousand).

The fair value of held to maturity investments at 31 December 2011 amounted to AED 14,019,399 thousand (2010: AED 12,108,800 thousand).

All unquoted available for sale equities are recorded at fair value except for investments amounting to AED 2,453 thousand (2010: AED 2,432 thousand) which are recorded at cost since their fair values cannot be reliably estimated. There is no active market for these investments and the Bank intends to hold them for the long term.

During 2008, the Bank entered into an exchange agreement (the "Agreement") in respect of an investment it held in a quoted equity, whereby the rights and benefits to the investment were transferred to the counterparty of the Agreement in exchange for the payment of interest at the rate of EURIBOR plus 0.5% for the duration of the agreement of 5 years. Under the agreement, any appreciation or decline in value of the investment at maturity or termination of the agreement, if earlier, would be ceded to the counterparty. Accordingly, the investment in the quoted equity was de-recognised and the balance outstanding from the third party representing the value of the investment of Euro 260 million (equivalent to AED 1,406 million at the inception of the agreement) was recorded under other assets.

During the year, the Bank, being the registered holder of the equity investment, participated in a rights issue offering by the investee, on behalf of the counterparty to the Agreement and purchased an additional investment with a total value of AED 128 million.

The carrying amount of the interest bearing asset, including the additional purchased shares during the period, amounted to AED 1,358 million (2010: AED 1,267 million) and recorded under other assets (note 8).

6 INVESTMENT IN ASSOCIATES

The Bank has the following investments in associates:

	Percentage of holding	
	2011	*2010*
First Gulf Financial Services LLC	**45%**	45%
Green Emirates Properties PJSC	**40%**	40%
Aseel Finance PJSC	**40%**	40%
Midmak Properties LLC	**16%**	16%

First Gulf Financial Services LLC ("FGFS"), is a limited liability company which is incorporated in the Emirate of Abu Dhabi and provides equity brokerage services in the United Arab Emirates.

Green Emirates Properties PJSC is a private joint stock company incorporated in the Emirate of Abu Dhabi and engaged mainly in the management and brokerage of real estate properties in United Arab Emirates and overseas.

Aseel Finance PJSC is a private joint stock company which is incorporated in the Emirate of Abu Dhabi and provides Islamic financial services.

Midmak Properties LLC ("Midmak") is a limited liability company incorporated in the Emirate of Abu Dhabi. Midmak is involved in real estate activities.

6 INVESTMENT IN ASSOCIATES *continued*

Summarised financial information on the investment in associates is set out below.

	2011	*2010*
	AED 000	*AED 000*
Share of associates' balance sheet		
Assets	**1,087,086**	1,168,066
Liabilities	**643,276**	651,309
Net assets	**443,810**	516,757
Carrying amount of investment in associates	**443,810**	516,757
Share of associates' revenue and losses:		
Revenue	**50,138**	5,339
Loss for the year	**(7,570)**	(37,803)

As of 31 December 2011, the Bank's share of the contingent liabilities of associates amounted to AED 332,692 thousand (2010: AED 332,691 thousand).

7 INVESTMENT PROPERTIES

	2011	*2010*
	AED 000	*AED 000*
Balance at 1 January	**7,049,254**	6,000,383
Additions	**661,250**	999,494
Disposals	**(116,465)**	(89,500)
Transferred from properties held for sale	**-**	10,866
(Loss) gain from fair value adjustment (note 23)	**(56,139)**	128,011
At 31 December	**7,537,900**	7,049,254

Investment properties are stated at fair value which represents the amount at which the assets could be exchanged between a knowledgeable, willing buyer and a knowledgeable, willing seller in an arm's length transaction at the date of valuation. As of 31 December 2010 and 2011, all investment properties were valued by independent professional valuers. The fair value of the properties has been determined either based on transactions observable in the market or based on a valuation model.

The property rental income earned by the Bank from its investment properties (note 23), that are leased out under operating leases, amounted to AED 51,438 thousand (2010: AED 119,224 thousand).

8 OTHER ASSETS

	2011 ***AED 000***	*2010* *AED 000*
Interest receivable	**921,020**	788,024
Prepayments	**40,133**	56,978
Positive fair value of derivatives (note 30)	**602,480**	380,708
Receivable under equity swap (note 5)	**1,672,374**	1,578,708
Receivable from sale of investment properties	**48,567**	100,332
Others	**272,445**	251,437
Total	**3,557,019**	3,156,187

Receivable under equity exchange includes an interest bearing receivable arising from an equity exchange entered into by the Bank during 2008 (note 5).

9 PROPERTY AND EQUIPMENT

	Land AED 000	*Buildings AED 000*	*Capital work-in progress AED 000*	*Motor vehicles AED 000*	*Furniture, fixtures and equipment AED 000*	*Computer hardware and software AED 000*	*Total AED 000*
2011							
Cost or valuation:							
At 1 January 2011	253,665	340,297	14,529	1,739	89,683	147,885	847,798
Additions during the year	10,353	11,199	17,236	1,222	16,169	22,351	78,530
Cost of disposals	-	-	-	(500)	(1,451)	(3,488)	(5,439)
Attributable to deconsolidation of previous subsidiary	-	(10,251)	-	(776)	(2,250)	(4,419)	(17,696)
At 31 December 2011	**264,018**	**341,245**	**31,765**	**1,685**	**102,151**	**162,329**	**903,193**
Depreciation:							
At 1 January 2011	-	68,026	-	1,044	58,073	94,985	222,128
Provided during the year	-	18,759	-	285	25,214	25,735	69,993
Disposals	-	-	-	(500)	(1,294)	(3,423)	(5,217)
Attributable to deconsolidation of previous subsidiary	-	(1,957)	-	(223)	(549)	(1,245)	(3,974)
At 31 December 2011	**-**	**84,828**	**-**	**606**	**81,444**	**116,052**	**282,930**
Net book value:							
At 31 December 2011	**264,018**	**256,417**	**31,765**	**1,079**	**20,707**	**46,277**	**620,263**
2010							
Cost or valuation:							
At 1 January 2010	247,688	330,511	7,310	1,458	98,480	140,768	826,215
Additions during the year	5,977	12,945	7,219	281	5,668	19,069	51,159
Cost of disposals	-	(3,159)	-	-	(14,465)	(11,952)	(29,576)
At 31 December 2010	253,665	340,297	14,529	1,739	89,683	147,885	847,798
Depreciation:							
At 1 January 2010	-	51,229	-	689	53,588	81,988	187,494
Provided during the year	-	17,490	-	355	18,446	24,777	61,068
Disposals	-	(693)	-	-	(13,961)	(11,780)	(26,434)
At 31 December 2010	-	68,026	-	1,044	58,073	94,985	222,128
Net book value:							
At 31 December 2010	253,665	272,271	14,529	695	31,610	52,900	625,670

10 DUE TO BANKS

	2011 ***AED 000***	*2010* *AED 000*
Current and demand deposits	**75,326**	193,483
Deposits maturing within one year	**8,172,010**	1,333,603
Total	**8,247,336**	1,527,086

As of 31 December 2011, deposits maturing within one year include deposits of AED 3,539,583 thousand (2010: AED 410,656 thousand) from banks held against the sale of debt securities with arrangements to repurchase them at a fixed future date.

11 CUSTOMERS' DEPOSITS

	2011 ***AED 000***	*2010* *AED 000*
Current accounts	**7,819,256**	7,886,770
Saving accounts	**1,172,633**	896,685
Time deposits	**80,091,121**	78,684,354
Call and other deposits	**14,390,723**	11,274,127
Total	**103,473,733**	98,741,936

As of 31 December 2011, time deposits include deposits of AED 6,284,059 thousand (2010: AED 9,177,889 thousand) from overseas financial institutions held against the sale of debt securities with arrangements to repurchase them at a fixed future date.

In December 2006, the Bank received an initial deposit of AED 5 billion from the Government of Abu Dhabi (the "Government") to fund an interest-free housing loans scheme for UAE Nationals, which is recorded in call and other deposits. The scheme is being administered by the Bank based on various terms and conditions agreed with the Government. As of 31 December 2011, the Government time deposit amounted to AED 10,700 million (2010: AED 8,754 million) and housing loans amounting to AED 10,369 million (2010: AED 8,344 million) were disbursed by the Bank. Interest is payable on this Government deposit at market rates based on the principal amount net of loan disbursements made.

During the year, the Abu Dhabi Government deposit increased by AED 2,771,065 thousand (2010: AED 3,323,832 thousand). The increase was partially offset by the waiver of AED 824,657 thousand (2010: AED 1,442,726 thousand) representing a discount of 25% (2010: 25%) granted to nearly 1,700 borrowers (2010: 3,000 borrowers) as further discussed in note 4. This is a non-cash transaction which has been excluded from the statement of cash flows.

As of 31 December 2011, the top 5 depositors accounted for 27% of total customer deposits (2010: 29%).

12 TERM LOANS

	2011	*2010*
	AED 000	*AED 000*
Syndicated loan	**3,030,225**	3,030,225
Bank loans	**2,111,975**	1,928,325
Euro Medium Term Note	**1,724,268**	1,722,820
Federal Government Loan	**4,510,087**	4,510,087
Medium Term Bonds	**785,951**	-
Repurchase agreements	**532,218**	532,218
	12,694,724	11,723,675

Syndicated Loan:
During 2007, the Bank obtained a loan of US$ 825 million (equivalent of AED 3,030 million) from a syndicate comprising of several foreign and local banks. The loan is repayable in full in November 2012. The loan accrues interest at the rate of LIBOR plus a margin of 0.275% per annum plus mandatory cost calculated by the Facility Agent as the weighted average of the Lender's additional cost rates, which are payable quarterly. The loan is subject to various terms, covenants and conditions. Specifically, the Bank should ensure that its capital adequacy ratio shall not at any time be less than the Basel minimum capital requirements as implemented in the U.A.E. under the guidelines of the Central Bank.

Bank Loans:
Bank loans comprise of several borrowings obtained from other commercial banks as follows:

Loan no.	*Year obtained*	*Loan amount US$ 000*	*Loan amount AED 000*	*Maturity*	*Interest*
1	2010	150,000	550,950	April 2012	Libor + 150 bps
2	2010	150,000	550,950	May 2012	Libor + 165 bps
3	2010	75,000	275,475	June 2012	Libor + 165 bps
4	2011	200,000	734,600	July 2013	Libor + 150 bps
		575,000	2,111,975		

A bank loan amounting to US$ 150,000 thousand (AED 550,950 thousand) was repaid in full on 30 December 2011.

Euro Medium Term Note:
During 2009, the Bank issued a 3 year Euro Medium Term Note (EMTN) of US $ 500 million (equivalent to AED 1,837 million). The notes are due in November 2012 and carry a coupon rate of 4% per annum payable semi-annually in arrears. At 31 December 2011, EMTN notes with a nominal value of US$ 30 million were repurchased by the Bank (2010: US$ 30 million).

Federal Government Loan:
As of 31 December 2008, customer deposits included deposits of AED 4,510,087 thousand placed by the U.A.E. Federal Government (the "Lender") for a period of 3-5 years. During 2009, these deposits were re-categorised as a subordinated loan. The loan is eligible as Tier 2 Capital for the purposes of calculation of capital adequacy ratio as per the Basel II guidelines implemented by the Central Bank of the UAE.

As per the terms, the loan is subordinated to all creditors other than junior creditors and the equity shareholders of the Bank. The loan bears a fixed interest rate of 4% per annum for first two years and steps up to 4.5% per annum and 5% per annum in the third and fourth years and from fifth year onwards at 5.25% p.a. Interest is payable on a quarterly basis. The loan matures on 31 December 2016.

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12 TERM LOANS *continued*

Federal Government Loan: continued
The agreement contains certain conditions relating to the Bank's minimum Tier 1 Capital requirement and also stipulates that the Lender has the right at its sole discretion to convert the loan amount together with accrued interest into share capital in the case of breach of agreement by the Bank.

The Bank has the option at any time during the option period to repay the loan in whole or in part subject to meeting certain conditions.

Repurchase Agreements:
During 2010, the Bank entered into several transactions with a foreign bank to obtain financing against the sale of debt securities, amounting to AED 532,218 thousand with arrangements to repurchase them at a fixed future date. The amount and maturity of each transaction are as follows:

No.	*Amount US$ 000*	*Amount AED 000*	*Maturity*
1	1,800	6,612	2-Aug-12
2	18,000	66,115	1-Aug-13
3	54,900	201,647	8-Apr-14
4	13,500	49,585	8-Oct-14
5	40,500	148,756	25-Oct-17
6	7,200	26,446	1-Aug-18
7	9,000	33,057	8-Apr-19
	144,900	**532,218**	

Medium Term Bonds:
On 16 February 2011, the Bank issued 5 year bonds of CHF 200 million (equivalent to AED 819 million). The bonds are due in February 2016 and carry a coupon rate of 3% per annum payable annually in arrears.

The Bank has not had any defaults of principal, interest or other breaches with regard to term loans during 2011 and 2010.

13 SUKUK FINANCING INSTRUMENTS

In August 2011, the Bank raised financing by way of a sukuk issued by FGB Sukuk Company Limited (a special purpose vehicle) amounting to US$ 650 million (equivalent to AED 2,387 million) and maturing in August 2016 (the Sukuk). The Sukuk carries a fixed profit rate of 3.797 percent per annum payable semi annually and is listed on the London Stock Exchange. The Sukuk was the inaugural issuance under the US$ 3.5 billion trust certificate issuance programme. Pursuant to the sukuk structure, FGB Sukuk Company Limited (as Rab-ul-Maal and Trustee) will receive certain payments from the Bank (as mudareb of certain mudaraba assets and wakeel of certain wakala assets). FGB Sukuk Company Limited will use such amounts received from the Bank to discharge its payment obligations under the Sukuk. Such payment obligations of the Bank rank parri passu with all other senior unsecured obligations of the Bank.

Subsequent to year end, the Bank issued trust certificates amounting to US$ 500 million (equivalent to AED 1,836 million) due in 2017 under the same trust certificate issuance program.

14 OTHER LIABILITIES

	2011	*2010*
	AED 000	*AED 000*
Interest payable	**449,549**	484,011
Accrued expenses	**182,077**	205,759
Provisions for staff benefits (note 15)	**226,554**	214,834
Accounts payable and sundry creditors	**815,046**	1,274,671
Advances received on sale of investment properties	**1,148,180**	1,105,449
Payable in respect of acquisition of investment properties	**231,356**	251,345
Negative fair value of derivatives (note 30)	**742,369**	516,474
Others	**114,847**	81,616
Total	**3,909,978**	4,134,159

15 PROVISION FOR STAFF BENEFITS

The movement in the provision was as follows:

	2011	*2010*
	AED 000	*AED 000*
At 1 January	**214,834**	219,352
Arising during the year	**161,895**	144,110
Utilised	**(150,175)**	(148,628)
At 31 December	**226,554**	214,834

16 SHARE CAPITAL

	Authorized, issued and fully paid	
	2011	2010
	AED 000	AED 000
Ordinary shares of AED 1 each	**1,500,000**	1,375,000

In its meeting held on 30 January 2012, the Board of Directors of the Bank resolved to distribute 1,500 million shares amounting to AED 1,500 million to shareholders of the Bank as bonus shares. The resolution is subject to the approval of the shareholders of the Bank in their upcoming Annual General Meeting.

17 TREASURY SHARES

During 2008, the Bank received an approval from the Securities & Commodities Authority of the United Arab Emirates to buy back up to 137.5 million of its own shares. As part of the scheme, the Bank accumulated a total of 75 million shares as at 31 December 2010.

In its meeting held on 6 January 2011, the Board of Directors of the Bank resolved to propose the distribution of the 75 million shares acquired until 31 December 2010 and pay dividends on those, to the shareholders and the holders of the Bank's mandatory convertible bonds of the Bank, on their conversion. The proposal was subsequently approved by the shareholders in their ordinary General Assembly held on 9 March 2011.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
31 December 2011

18 CAPITAL NOTES

Following approval of the Extraordinary General Assembly meeting held on 25 February 2009, the Board of Directors resolved on 26 February 2009 to issue capital notes (the "Notes") to the Department of Finance, Government of Abu Dhabi amounting to AED 4 billion. The Notes are subject amongst other terms, to the following:

- The Notes have a par value of AED 10 million each;
- The Notes are perpetual securities in respect of which there is no fixed redemption date;
- The Notes constitute direct, unsecured and subordinated obligations of the Bank;
- The Notes holder is entitled to a non-cumulative semi-annual fixed interest coupon at the rate of 6% per annum until February 2014 and floating interest rate of EIBOR plus 2.3% per annum thereafter. The Bank may at its sole discretion elect not to make an interest coupon payment. Any interest payment made will be reflected in the statement of changes in equity. During the year, interest payments amounted to AED 240 million (2010: AED 240 million).

19 APPROPRIATIONS

Legal reserve

In accordance with the U.A.E. Commercial Companies Law No. 8 of 1984 (as amended) and the Articles of Association of the Bank, 10% of profit for the year of the Bank shall be transferred to the legal reserve until it reaches 50% of the nominal value of the paid up share capital. As of 31 December 2011, the legal reserve exceeded 50% of the share capital and accordingly, the Board of Directors has proposed that no transfers from the net profit are made to the legal reserve. However, the early conversion of the mandatory convertible bonds during 2011 resulted in an increase to the legal reserve by AED 3,475 million (note 20). The legal reserve is not available for distribution.

Special reserve

As required by Article 82 of Union Law No. 10 of 1980, 10% of the profit for the year shall be transferred to the special reserve. The Bank may resolve to discontinue such annual transfers when the reserve equals 50% of the nominal value of the paid up share capital. As of 31 December 2011, the special reserve exceeded 50% of the share capital and accordingly, the Board of Directors has proposed that no transfers from the net profit are made to the special reserves. The special reserve is not available for distribution.

General reserve

Transfers to the general reserve are made upon the recommendation of the Board of Directors. This reserve may only be used for the purposes recommended by the Board of Directors and approved by the shareholders.

No transfers are proposed by the Board of Directors (2010: AED nil) from the profit for the year to the general reserve.

Dividends

	2011	*2010*
	AED 000	*AED 000*
Cash dividends proposed in respect of 2011: 100 fils (2010: Declared 60 fils)	**1,500,000**	900,000
Dividend on ordinary shares paid during the year	**864,830**	657,095

Cash dividends proposed in respect of 2010 of 60 fils per share were based on the outstanding share capital, inclusive of the treasury shares which were distributed in 2011 (note 17), in addition to the shares issued upon the conversion of the mandatory convertible bonds (note 20). Cash dividends proposed in respect of 2011 of 100 fils per share are based on the outstanding share capital.

	2011	*2010*
Proposed distribution of the treasury shares (note 17) ('000's)	**-**	75,000

20 MANDATORY CONVERTIBLE BONDS

During the year, the Board of Directors of the Bank approved a plan to early convert the mandatory convertible bonds. The Bank obtained the approval of all the bondholders, and as a result, early converted the bonds during February 2011. The conversion resulted in the following:

- The share capital of the Bank increased by AED 125 million, representing the par value of AED 1 for 125 million newly issued shares.
- The legal reserve of the Bank increased by AED 3,475 million, representing the share premium on those additional new shares.

The Board of Directors resolved to pay interest of AED 81,462 thousand in two phases as follows: AED 59,490 thousand until 22 January 2011 and AED 21,972 thousand for the period from 23 January 2011 until the bonds converted on 20 February 2011.

21 INTEREST INCOME AND INCOME FROM ISLAMIC FINANCING

	2011	*2010*
	AED 000	*AED 000*
Interest income		
Loans and advances	**6,248,111**	5,972,228
Deposits with banks and financial institutions	**115,310**	79,365
Investment securities		
- Available for sale	**80,650**	33,637
- Held to maturity	**224,538**	127,327
Notional interest on impaired loans and advances (note 4)	**93,251**	26,906
Total	**6,761,860**	6,239,463
Income from Islamic financing	**311,477**	339,473
Interest income and income from Islamic financing	**7,073,337**	6,578,936

22 INTEREST EXPENSE AND ISLAMIC FINANCING EXPENSE

	2011	*2010*
	AED 000	*AED 000*
Interest expense		
Customers' deposits	**1,464,233**	1,898,193
Bank deposits	**47,941**	21,760
Term loans	**342,953**	313,082
Total	**1,855,127**	2,233,035
Islamic financing expense	**139,319**	88,702
Interest expense and Islamic financing expense	**1,994,446**	2,321,737

23 OTHER OPERATING INCOME

	2011	*2010*
	AED 000	*AED 000*
Investment income:		
Gains on disposal of available for sale investments	**58,229**	63,731
Gains (losses) on disposal of investments carried at fair value through income statement	**18,921**	(15,572)
Change in fair value of investments carried at fair value through income statement	**(23,660)**	(10,629)
Other investment income	**9,683**	7,279
Total investment income	**63,173**	44,809
Commission income	**460,696**	471,719
Fee income	**486,564**	736,759
Fees and commissions on credit cards	**253,938**	266,605
Brokerage and fund management fee income	**11,021**	11,454
Foreign exchange income	**68,727**	91,339
Derivative (loss) income	**(25,805)**	25,042
(Loss) gain on revaluation of investment properties (note 7)	**(56,139)**	128,011
Gain on sale of investment properties	**13,863**	3,500
Gain on disposal of development properties	**-**	178,570
Loss on sale of property and equipment	**(29)**	(3,074)
Rental income (note 7)	**51,438**	119,224
Other income	**84,114**	11,630
Total	**1,411,561**	2,085,588

24 GENERAL AND ADMINISTRATIVE EXPENSES

	2011	*2010*
	AED 000	*AED 000*
Staff costs	**570,822**	556,259
Depreciation (note 9)	**69,993**	61,068
Other general and administrative expenses	**583,221**	504,221
Total	**1,224,036**	1,121,548
Number of employees	**930**	956

25 PROVISION FOR IMPAIRMENT OF LOANS AND ADVANCES

	2011	*2010*
	AED 000	*AED 000*
Provision for impaired loans and advances (note 4)	**1,594,556**	1,656,233
Recoveries (note 4)	**(41,465)**	(17,146)
	1,553,091	1,639,087

26 BASIC AND DILUTED EARNINGS PER SHARE

Basic earnings per share amounts for the year are calculated by dividing profit for the year attributable to ordinary equity holders of the Bank by the weighted average number of ordinary shares outstanding during the year.

Diluted earnings per share amounts are calculated by dividing the net profit attributable to ordinary shareholders of the Bank by the weighted average number of ordinary shares outstanding during the year, adjusted for the effects of dilutive instruments.

The following reflects the income and share data used in the earnings per share computations:

	2011	*2010*
Profit for the year attributable to ordinary equity holders (AED 000)	**3,707,275**	3,420,425
Deduct: Interest on mandatory convertible bonds (AED 000)	**(28,724)**	(115,567)
Deduct: Interest on capital notes (AED 000)	**(156,973)**	(240,000)
Profit attributable to ordinary equity holders (AED 000)	**3,521,578**	3,064,858
Weighted average number of ordinary shares in issue (000's)	**1,486,027**	1,461,201
Basic and diluted earnings per share (AED)	**2.37**	2.10

Shares related to mandatory convertible bonds are included in the weighted average number of ordinary shares from the date the related bonds were issued. Treasury shares are excluded from the date they were purchased.

27 CASH AND CASH EQUIVALENTS

Cash and cash equivalents included in the statement of cash flows comprise the following balance sheet amounts:

	2011 ***AED 000***	*2010* *AED 000*
Cash and balances with U.A.E. Central Bank	**9,586,770**	8,526,300
Due from banks and financial institutions	**12,225,320**	10,267,516
	21,812,090	18,793,816
Less: Balances with U.A.E. Central Bank maturing after three months of placement	**6,000,000**	4,500,000
Less: Due from banks and financial institutions maturing after three months of placement	**5,560,935**	786,524
Cash and cash equivalents	**10,251,155**	13,507,292

Geographic analysis of due from banks and financial institutions is as follows:

Within U.A.E	**5,050,815**	3,875,048
Outside U.A.E	**7,174,505**	6,392,468
	12,225,320	10,267,516

28 RELATED PARTY TRANSACTIONS

In the ordinary course of its activities, the Bank enters into transactions with related parties, comprising directors, major shareholders, key management and their related concerns, at commercial interest and commission rates. The Bank obtains collateral, including charges over real estate properties and securities, the extent of which is dependent on the Bank's assessment of the credit risk of the related party. All loans and advances to related parties are performing advances and are free of any provision for impaired loans and advances.

The following transactions have been entered into with related parties:

	2011 ***AED 000***	*2010* *AED 000*
Board members, key management personnel		
Loans and advances	**12,496,815**	13,373,664
Customers' deposits	**4,455,742**	4,339,102
Commitments and contingent liabilities	**3,152,485**	2,870,616
Interest and commission income	**747,152**	835,111
Interest expense and Islamic financing expense	**128,919**	145,460
Associates		
Loans and advances to customers	**977,090**	785,497
Customers' deposits	**477,802**	158,095
Commitments and contingent liabilities	**762,973**	762,970
Interest and commission income	**40,296**	37,105
Interest expense and Islamic financing expense	**4,412**	2,865
Compensation of key management personnel:		
Short term employee benefits	**76,696**	83,259
Post employment benefits	**9,199**	8,316

In addition to amounts disclosed above, Board of Directors remuneration amounting to AED 28,000 thousand (2010: AED 48,000 thousand) has been included in the consolidated statement of comprehensive income and is subject to the approval of the shareholders at the forthcoming Annual General Meeting.

29 COMMITMENTS AND CONTINGENT LIABILITIES

The Bank has the following commitments and contingent liabilities at 31 December:

	2011 ***AED 000***	*2010* *AED 000*
Contingent liabilities:		
Acceptances	**2,320,093**	1,697,318
Letters of credit	**21,785,762**	16,365,265
Guarantees	**43,247,654**	43,808,835
	67,353,509	61,871,418
Commitments:		
Commitments to extend credit maturing within one year	**2,071,904**	2,849,407
Commitments for future capital expenditure	**1,905,625**	2,514,650
Commitments for future private equity investments	**639,808**	799,874
	4,617,337	6,163,931
Total commitments and contingent liabilities	**71,970,846**	68,035,349

29 COMMITMENTS AND CONTINGENT LIABILITIES *continued*

Credit-related commitments include commitments to extend credit, standby letters of credit, guarantees and acceptances which are designed to meet the requirements of the Bank's customers.

Letters of credit, guarantees and acceptances commit the Bank to make payments on behalf of customers in the event of a specific act such as the export or import of goods or upon the failure of the customer to perform under the terms of a contract. These contracts would have market risk if issued or extended at a fixed rate of interest. However, these contracts are primarily made at a floating rate.

Commitments to extend credit represent contractual irrevocable commitments to make loans and revolving credits. Commitments generally have fixed expiry dates, or other termination clauses. Since commitments may expire without being drawn upon, the total contract amounts do not necessarily represent future cash requirements.

30 DERIVATIVES

The table below shows the positive and negative fair values of derivative financial instruments, together with the notional amounts analysed by term to maturity. The notional amount is the amount of a derivative's underlying asset, reference rate or index and is the basis upon which changes in the value of derivatives are measured. The notional amounts indicate the volume of transactions outstanding at year end and are neither indicative of the market risk nor credit risk.

	Positive fair value AED 000	*Negative fair value AED 000*	*Notional amount Total AED 000*	***Notional amounts by term to maturity*** *Within 3 months AED 000*	*3-12 months AED 000*	*1-5 years AED 000*	*More than 5 years AED 000*
At 31 December 2011							
Derivatives held for trading:							
Forward foreign exchange contracts	**50,768**	**45,459**	**12,954,483**	**10,062,047**	**2,218,691**	**673,745**	**-**
Interest rate swaps, caps and collars	**442,705**	**600,551**	**19,121,379**	**734,600**	**1,157,585**	**4,471,324**	**12,757,870**
Credit default swaps	**345**	**1,771**	**173,460**	**-**	**100,000**	**73,460**	**-**
Commodity linked swaps	**-**	**32,280**	**734,600**	**-**	**-**	**734,600**	**-**
Equity swaps	**-**	**-**	**157,633**	**-**	**-**	**-**	**157,633**
Options	**8,741**	**10,677**	**1,778,693**	**895,913**	**344,776**	**538,004**	**-**
Futures	**439**	**-**	**211,442**	**211,442**	**-**	**-**	**-**
	502,998	**690,738**	**35,131,690**	**11,904,002**	**3,821,052**	**6,491,133**	**12,915,503**
Derivatives held as a fair value hedge:							
Interest rate swaps	**4,013**	**51,631**	**600,000**	**-**	**-**	**600,000**	**-**
Cross currency swaps	**95,469**	**-**	**1,471,646**	**-**	**-**	**1,096,088**	**375,558**
Total	**602,480**	**742,369**	**37,203,336**	**11,904,002**	**3,821,052**	**8,187,221**	**13,291,061**
At 31 December 2010							
Derivatives held for trading:							
Forward foreign exchange contracts	20,324	25,341	5,936,770	4,661,193	1,168,522	107,055	-
Interest rate swaps, caps and collars	337,953	367,771	21,380,373	-	1,132,024	5,114,383	15,133,966
Credit default swaps	-	3,229	173,460	-	173,460	-	-
Commodity linked swaps	-	35,371	734,600	-	-	734,600	-
Equity swaps	4,850	4,642	263,811	-	99,885	-	163,926
Swaptions	3,454	8,031	881,520	-	881,520	-	-
Options	7,914	8,909	2,569,873	2,386,223	183,650	-	-
Futures	165	-	132	132	-	-	-
	374,660	453,294	31,940,539	7,047,548	3,639,061	5,956,038	15,297,892
Derivatives held as a fair value hedge:							
Interest rate swaps	6,048	63,180	611,428	-	11,428	600,000	-
Total	380,708	516,474	32,551,967	7,047,548	3,650,489	6,556,038	15,297,892

30 DERIVATIVES *continued*

Derivative product types
In the ordinary course of business the Bank enters into various types of transactions that involve financial instruments. A derivative financial instrument is a financial contract between two parties where payments are dependent upon movements in price in one or more underlying financial instrument, reference rate or index. Derivative financial instruments, which the Bank enters into, include forwards, options and swaps, futures and swaptions.

Forwards and futures are contractual agreements to either buy or sell a specified currency, commodity or financial instrument at a specific price and date in the future. Forwards are customised contracts transacted in the over-the-counter market.

Swaps are contractual agreements between two parties to exchange interest or foreign currency differentials based on a specific notional amount. For interest rate swaps, counterparties generally exchange fixed and floating rate interest payments based on a notional value in a single currency. For currency swaps, fixed or floating interest payments as well as notional amounts are exchanged in different currencies.

Credit default swaps transfer the credit exposure of debt securities between parties. The buyer of a credit default swap receives credit protection, whereas the seller of the swap guarantees the credit worthiness of the product. Accordingly, the risk of default is transferred from the holder of the debt security to the seller of the swap.

Options are contractual agreements that convey the right, but not the obligation, to either buy or sell a specific amount of a commodity or financial instrument at a fixed price, either at a fixed future date or at any time within a specified period.

Credit risk in respect of derivative financial instruments arises from the potential for a counterparty to default on its contractual obligations and is limited to the positive fair value of instruments that are favourable to the Bank. The Bank enters into derivative contracts with a number of financial institutions of good credit rating.

Derivatives held for trading purposes
Most of the Bank's derivative trading activities relate to offering products to customers at competitive prices in order to enable them to transfer, modify or reduce current and expected risks and manage their market positions with the expectation of making profit from favourable movements in prices or rates.

Derivatives held for hedging purposes
As part of its asset and liability management the Bank uses derivatives for hedging purposes in order to reduce its exposure to interest rate risks.

The total gain on interest rate swaps held as fair value hedges amounted to AED 9,514 thousand (2010: loss of AED 18,369 thousand). A corresponding gain / loss has been adjusted against the carrying value of the related hedged asset.

31 SEGMENTAL INFORMATION

A segment represents a distinguishable component of the Bank that is engaged either in providing products or services (business segment), or in providing products or services within a particular economic environment (geographical segment), which is subject to risks and rewards that are different from those of other segments.

Operating segment information
For management purposes the Bank is organised into five operating segments:

Corporate banking - Principally handling loans and other credit facilities and deposit and current accounts for corporate and institutional customers and high net worth individuals.

Treasury, including investment operations - Principally providing money market, trading and treasury services, as well as the management of the Bank's funding operations by use of government securities and placements and deposits with other banks.

Retail banking - Principally handling individual customers' deposits, and providing consumer type loans, overdrafts, credit cards facilities and funds transfer facilities.

Real estate activities – Principally the acquisition, leasing, brokerage, management and resale of properties carried out through its subsidiaries and associate companies.

Other operations comprising mainly the Head Office including unallocated costs, subsidiaries and associates other than above categories.

Operating segmental information for the year ended 31 December 2011 was as follows:

	Corporate banking	*Treasury*	*Retail banking*	*Real estate*	*Other operations*	*Total*
	AED 000	***AED 000***	***AED 000***	***AED 000***	***AED 000***	***AED 000***
Assets	**64,064,723**	**37,925,241**	**37,256,940**	**7,930,275**	**10,303,158**	**157,480,337**
Liabilities	**85,024,629**	**15,266,336**	**19,535,131**	**1,562,133**	**9,324,992**	**130,713,221**
Operating income excluding associates	**2,631,516**	**564,702**	**2,914,321**	**88,320**	**291,593**	**6,490,452**
Net interest income and income from Islamic financing	**1,971,347**	**504,952**	**2,377,956**	**-**	**224,636**	**5,078,891**
Share of losses of associates	**-**	**-**	**-**	**(23,226)**	**15,656**	**(7,570)**
Provision for impairment of loans and advances	**(674,725)**	**(86)**	**(681,065)**	**-**	**(197,215)**	**(1,553,091)**
Profit attributable to equity holders of the Bank	**1,671,868**	**509,321**	**1,626,502**	**43,831**	**(144,247)**	**3,707,275**
Other segment information						
Investment in associates	**-**	**-**	**-**	**195,356**	**248,454**	**443,810**
Capital expenditure	**-**	**-**	**-**	**676,627**	**63,153**	**739,780**
Depreciation	**-**	**-**	**-**	**10,016**	**59,977**	**69,993**

31 SEGMENTAL INFORMATION *continued*

Operating segment information for the year ended 31 December 2010 was as follows:

	Corporate banking	*Treasury*	*Retail banking*	*Real estate*	*Other operations*	*Total*
	AED 000	*AED 000*	*AED 000*	*AED 000*	*AED 000*	*AED 000*
Assets	61,887,236	31,708,437	32,952,632	7,561,144	6,648,555	140,758,004
Liabilities	78,013,633	10,959,356	16,906,665	1,432,524	8,814,678	116,126,856
Operating income excluding associates	2,424,210	430,665	2,849,865	439,687	198,360	6,342,787
Net interest income and income from Islamic financing	1,751,235	304,169	2,037,619	-	164,176	4,257,199
Share of losses of associates	-	-	-	(26,192)	(11,611)	(37,803)
Provision for impairment of loans and advances	(650,810)	-	(807,728)	-	(180,549)	(1,639,087)
Profit attributable to equity holders of the Bank	1,481,249	376,873	1,521,826	262,207	(221,730)	3,420,425
Other segment information						
Investment in associates	-	-	-	307,644	209,113	516,757
Capital expenditure	-	-	-	999,843	50,810	1,050,653
Depreciation	-	-	-	403	60,665	61,068

The Bank's operations in UAE contribute the majority of its revenues. Also, the Bank's non-current assets in UAE represent a significant portion of its total non-current assets.

32 RISK MANAGEMENT

32.1 Introduction

Risk is inherent in the Bank's activities but it is managed through a process of ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Bank's continuing profitability and each individual within the Bank is accountable for the risk exposures relating to his or her responsibilities. The Bank is exposed to credit risk, liquidity risk and market risk, the latter being subdivided into trading and non-trading risks. It is also subject to operating risks.

Risk management structure

In line with the best practice followed in world class financial institutions the overall risk management responsibility lies with the Board of Directors of the Bank under which there is a Risk and Compliance Committee (RCMC) comprising of three board members and the Chief Risk Officer who take the responsibility for identifying and controlling the risks.

Board of Directors

The overall risk management responsibility lies with the Board of Directors of the Bank. They provide the direction, strategy and oversee all the activities through various committees.

Audit Committee

The Audit Committee comprises two independent members who represent the Board of Directors of the Bank. The committee has the overall responsibility of assessing the internal audit findings, directing implementation of audit recommendations and overseeing the internal audit activities undertaken within the internal control environment and regulatory compliance framework of the Bank. Duties and responsibilities of the Audit Committee are governed by a formally approved Audit Committee Charter which is in line with best practice and control governance.

Risk & Compliance Management Committee (RCMC)

The RCMC comprises two independent members who represent the Board of Directors of the Bank. The objective of RCMC is to assist the Board of Directors in fulfilling its corporate governance and oversight responsibilities by establishing, monitoring and reviewing internal control, compliance and risk management processes and systems within the Bank.

Asset Liability Committee

Asset Liability Management (ALM) process is an act of planning, acquiring, and directing the flow of funds through an organization. The ultimate objective of this process is to generate adequate and stable earnings and to steadily build an organization's equity over time, while taking measured business risks. The bank has a well defined ALM policy duly describing the objective, role and function of Asset Liability Committee (ALCO). This process revolves around ALCO, the body within the Bank that holds the responsibility to make strategic decisions to manage balance sheet related risks. The ALCO consisting of the bank's senior management including the Managing Director and Chief Executive Officer (CEO) meets at least once a month.

Credit Committee

All the business proposals of clients are approved through a committee empowered by the Executive Committee of the bank through the CEO. The Bank has a Credit Committee which approves all the funded and non funded limits. The committee consists of senior management personnel including the CEO. The approval process and the authorities vested with the committee members are well defined in a credit policy manual. The policy manual enumerates various procedures to be followed by a relationship manager in bringing a relationship to the Bank. Various aspects of the credit approval process have been defined in the policy which enables efficient approval of the proposals.

32 RISK MANAGEMENT *continued*

32.1 Introduction *continued*

Investment and Management Committee

Investment and Management Committee (IMCO) is a management level committee with representations from investment, financial control and risk management functions. This committee is entrusted with the responsibility of approving limits for investments and in approving individual investment proposals within those limits. It ensures that the investment decisions conform to the guidelines laid down in the investment policy of the Bank and are within overall limits prescribed by the Board of Directors. The committee meets to discuss new proposals for investments as well as analyse the performance of existing investments. The committee also sets guidelines for investments.

Risk Management Unit (RMU)

RMU is an independent unit reporting to the CEO and the RCMC. RMU is responsible for identifying, measuring, monitoring and controlling the risks arising out of various activities in the Bank by the different business units. The process is through partnering with the units in identifying and addressing the risks by setting limits and reporting on the utilization thereof.

RMU also monitors compliance with the regulatory procedures and anti-money laundering monitoring procedures of the Bank.

Bank Treasury

Bank Treasury is responsible for managing the Bank's assets and liabilities and the overall financial structure. It is also primarily responsible for managing the funding and liquidity risks of the Bank.

Internal Audit

Risk management processes throughout the Bank are audited annually by the internal audit function that examines both the adequacy of the procedures and the Bank's compliance with the procedures. Internal Audit discusses the results of all assessments with management, and reports its findings and recommendations to the Audit Committee. The Head of Internal Audit has direct reporting lines to the Audit Committee in securing his independence and objectivity in all audit engagements undertaken within the Bank.

Risk measurement and reporting systems

Monitoring and controlling risks is primarily performed based on limits established by the Bank. These limits reflect the business strategy and market environment of the Bank as well as the level of risk that the Bank is willing to accept, with additional emphasis on selected industries. In addition, the Bank monitors and measures the overall risk bearing capacity in relation to the aggregate risk exposure across all risk types and activities.

Information compiled from all the businesses is examined and processed in order to analyse, control and identify early risks. This information is presented and explained to the RCMC, and the head of each business division. The report includes aggregate credit exposure, limit exceptions and risk profile changes. On a monthly basis detailed reporting of industry, customer and geographic risks takes place. Senior management assesses the appropriateness of the provision for credit losses on a quarterly basis. RCMC receives a comprehensive risk report once a quarter which is designed to provide all the necessary information to assess and conclude on the risks of the Bank.

For all levels throughout the Bank, specifically tailored risk reports are prepared and distributed in order to ensure that all business divisions have access to extensive, necessary and up-to-date information.

32 RISK MANAGEMENT *continued*

32.1 Introduction *continued*

Risk mitigation
As part of its overall risk management, the Bank uses derivatives and other instruments to manage exposures resulting from changes in interest rates and foreign currencies.

The risk profile is assessed before entering into hedge transactions, which are authorized by the appropriate level of seniority within the Bank. The effectiveness of hedges is assessed by the RMU. The effectiveness of all the hedge relationships is monitored by the RMU monthly. In situations of ineffectiveness, the Bank will enter into a new hedge relationship to mitigate risk on a continuous basis.

The Bank actively uses collateral to reduce its credit risks.

Risk concentration
Concentrations of credit risk arise when a number of counter-parties are engaged in similar business activities, or activities in the same geographic region, or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations of credit risk indicate the relative sensitivity of the Bank's performance to developments affecting a particular industry or geographic location.

The Bank seeks to manage its credit risk exposure through diversification of lending activities to avoid undue concentrations of risks with individuals or groups of customers in specific industries or businesses.

Details of the composition of the loans and advances portfolio are provided in note 4. Information on credit risk relating to investments is provided in note 32.2.

32.2 Credit risk
Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss. The Bank attempts to control credit risk by monitoring credit exposures, limiting transactions with specific counter-parties, and continually assessing the creditworthiness of counter-parties. In addition to monitoring credit limits, the Bank manages the credit exposure relating to its trading activities by entering into master netting agreements and collateral arrangements with counter-parties in appropriate circumstances, and limiting the duration of exposure. In certain cases, the Bank may also close out transactions or assign them to other counter-parties to mitigate credit risk.

The Bank has established a credit quality review process to provide early identification of possible changes in the creditworthiness of counterparties, including regular collateral revisions. The credit quality review process allows the Bank to assess the potential loss as a result of the risks to which it is exposed and take corrective action.

Derivative financial instruments
Credit risk arising from derivative financial instruments is, at any time, limited to those with positive fair values, as recorded in the balance sheet.

Credit-related commitments risks
The Bank makes available to its customers guarantees which may require that the Bank makes payments on their behalf. Such payments are collected from customers based on the terms of the letters of guarantee. They expose the Bank to similar risks to loans and these are mitigated by the same control processes and policies.

32 RISK MANAGEMENT *continued*

32.2 Credit risk *continued*

Maximum exposure to credit risk without taking account of any collateral and other credit enhancements

The table below shows the maximum exposure to credit risk for the components of the balance sheet, including derivatives. The maximum exposure is shown gross, before the effect of mitigation through the use of master netting and collateral agreements.

	Notes	***Gross maximum exposure 2011 AED 000***	*Gross maximum exposure 2010 AED 000*
Balances with U.A.E. Central Bank	3	**9,301,371**	8,269,773
Due from banks and financial institutions	27	**12,225,320**	10,267,516
Loans and advances	4	**104,719,799**	95,628,016
Investments	5	**16,575,947**	13,254,509
Other assets	8	**3,516,886**	3,099,209
Total		**146,339,323**	130,519,023
Derivatives held for trading			
Forward foreign exchange contracts	30	**50,768**	20,324
Interest rate swaps, caps and collars	30	**442,705**	337,953
Credit default swaps	30	**345**	-
Equity swaps	30	**-**	4,850
Swaption	30	**-**	3,454
Options	30	**8,741**	7,914
Futures	30	**439**	165
Derivatives held as a fair value hedge:			
Interest rate swaps	30	**4,013**	6,048
Cross currency swaps	30	**95,469**	-
Total		**602,480**	380,708
Contingent liabilities	29	**67,353,509**	61,871,418
Commitments	29	**2,071,904**	2,849,407
Total		**69,425,413**	64,720,825
Total credit risk exposure		**216,367,216**	195,620,556

Where financial instruments are recorded at fair value the amounts shown above represent the current credit risk exposure but not the maximum risk exposure that could arise in the future as a result of changes in values.

32 RISK MANAGEMENT *continued*

32.2 Credit risk *continued*

Credit risk concentration
Concentration of risk is managed by customer/counterparty, by geographical region and by industry sector. The funded and non funded credit exposure to the top 5 borrowers as of 31 December 2011 was AED 21,635,329 thousand (2010: AED 19,834,470 thousand) before taking account of collateral or other credit enhancements and AED 13,756,283 thousand (2010: AED 11,540,558 thousand) net of such protection.

The distribution of the Bank's financial assets by geographic region and industry sector is as follows:

	2011	*2010*
	AED 000	*AED 000*
Geographic region		
UAE	**122,479,496**	111,444,843
Other Arab countries	**3,028,614**	4,183,312
Europe	**7,114,204**	4,619,727
USA	**6,994,229**	9,432,489
Rest of the world	**6,722,780**	838,652
Financial assets subject to credit risk	**146,339,323**	130,519,023
Other assets	**11,141,014**	10,238,981
Total assets	**157,480,337**	140,758,004
Industry sector		
Commercial and business	**72,162,149**	63,001,892
Personal	**37,256,940**	32,952,630
Government	**15,838,757**	19,598,113
Banks and financial institutions	**18,579,245**	12,807,171
Others	**2,502,232**	2,159,217
Financial assets subject to credit risk	**146,339,323**	130,519,023
Other assets	**11,141,014**	10,238,981
Total assets	**157,480,337**	140,758,004

Collateral and other credit enhancements
The amount and type of collateral required depends on an assessment of the credit risk of the counterparty. Guidelines are implemented regarding the acceptability of types of collateral and valuation parameters.

The main types of collateral obtained are as follows:
- For repurchase and reverse repurchase transactions, cash or securities,
- For commercial lending, charges over real estate properties, inventory, trade receivables and securities,
- For personal lending, assignment of salaries in favour of the Bank.

The Bank also obtains guarantees from parent companies for loans to their subsidiaries, but the benefits are not included in the above table.

32 RISK MANAGEMENT *continued*

32.2 Credit risk *continued*

Collateral and other credit enhancements *continued*
Management monitors the market value of collateral, requests additional collateral in accordance with the underlying agreement, and assesses the market value of collateral obtained during its review of the adequacy of the provision for impairment losses.

It is the Bank's policy to dispose of repossessed assets, other than investment properties, in an orderly fashion. The proceeds are used to reduce or repay the outstanding claim. In general, the Bank does not occupy repossessed properties for business use.

The Bank also makes use of master netting agreements with counterparties.

At 31 December 2011, the fair value of collateral that the Bank holds relating to loans individually determined to be impaired amounts to AED 698,194 thousand (2010: AED 640,764 thousand) . The collateral consists of cash, securities, letters of guarantee and properties.

Credit quality per class of financial assets
The credit quality of financial assets is managed by the Bank using internal credit ratings. The table below shows the credit quality by class of asset, based on the Bank's credit rating system. The amounts presented are gross of impairment provisions.

	Neither past due nor impaired				
	Pass grade	*Watch grade*	*Sub-standard grade*	*Past due or individually impaired*	*Total*
	AED 000	*AED 000*	*AED 000*	*AED 000*	*AED 000*
2011					
Cash and balances with U.A.E. Central Bank	**9,301,371**	**-**	**-**	**-**	**9,301,371**
Due from banks and financial institutions	**12,225,320**	**-**	**-**	**-**	**12,225,320**
Loans and advances	**95,861,867**	**5,990,862**	**-**	**6,488,725**	**108,341,454**
Other assets	**3,516,886**	**-**	**-**	**-**	**3,516,886**
Investments	**16,575,947**	**-**	**-**	**-**	**16,575,947**
Total	**137,481,391**	**5,990,862**	**-**	**6,488,725**	**149,960,978**
2010					
Cash and balances with U.A.E. Central Bank	8,269,773	-	-	-	8,269,773
Due from banks and financial institutions	10,267,516	-	-	-	10,267,516
Loans and advances	88,784,434	3,755,690	-	6,382,675	98,922,799
Other assets	3,099,209	-	-	-	3,099,209
Investments	13,254,509	-	-	-	13,254,509
Total	123,675,441	3,755,690	-	6,382,675	133,813,806

32 RISK MANAGEMENT *continued*

32.2 Credit risk *continued*

Past due loans and advances include those that are only past due by a few days. An analysis of past due loans, by age, is provided below.

Aging analysis of past due but not impaired loans

	Less than 30 days AED 000	*31 to 60 days AED 000*	*61-90 days AED 000*	*More than 91 days AED 000*	*Total AED 000*
31 December 2011					
Past due but not impaired loans and advances	**1,412,058**	**509,653**	**265,159**	**-**	**2,186,870**
Past due and impaired loans and advances					**6,488,725**
Less:					
Past due but not impaired loans and advances					**(2,186,870)**
Impaired loans and advances (note 4):					
Loans and advances under restructuring					**620,727**
Other loans and advances					**3,681,128**
					4,301,855
Impaired loans, excluding loans and advances under restructuring					**3,681,128**
31 December 2010					
Past due but not impaired loans and advances	1,111,268	450,453	254,174	-	1,815,895
Past due and impaired loans and advances					6,382,675
Less:					
Past due but not impaired loans and advances					(1,815,895)
Impaired loans and advances (note 4):					
Loans and advances under restructuring					880,000
Other loans and advances					3,686,780
					4,566,780
Impaired loans, excluding loans and advances under restructuring					3,686,780

See note 4 for more detailed information with respect to the provision for impairment losses on loans and advances.

Renegotiated loans
The total carrying amount of loans and advances whose terms have been renegotiated as of 31 December 2011 amounted to AED 5,444,285 thousand (2010: AED 3,826,767 thousand).

32 RISK MANAGEMENT *continued*

32.2 Credit risk *continued*

Impairment assessment
The Bank uses an incurred loss model for the recognition of losses on impaired financial assets. This means that losses can only be recognised when objective evidence of a specific loss event has been observed. Triggering events include the following:

- Significant financial difficulty of the borrower;
- A breach of contract such as default of payment;
- If it becomes probable that the customer will enter bankruptcy or other financial reorganization; and
- Observable data that suggests that there is a decrease in the estimated future cash flows from the loans.

32.3 Liquidity risk and funding management

Liquidity risk is the risk that an institution will be unable to meet its funding requirements. Liquidity risk can be caused by market disruptions or a credit downgrade which may cause certain sources of funding to dry up immediately. To guard against this risk, management has diversified funding sources and assets are managed with liquidity in mind, maintaining a healthy balance of cash, cash equivalents, and readily marketable securities. In addition the Bank also has committed lines of credit that it can access to meet liquidity needs and the Bank also maintains mandatory cash reserve deposits with the Central Bank of U.A.E. equal to 1% of customer time deposits and 14% of customer current, call and savings accounts.

Analysis of financial assets and financial liabilities by remaining contractual maturities
The table below summarises the maturity profile of the Bank's financial assets and liabilities at 31 December 2011 based on contractual maturities.

	Less than 3 months AED 000	*3 months to 1 year AED 000*	*1 year to 5 years AED 000*	*Over 5 years AED 000*	*Total AED 000*
ASSETS					
Cash and balances with UAE Central Bank	**3,586,770**	**6,000,000**	**-**	**-**	**9,586,770**
Due from banks and financial institutions	**10,443,915**	**1,781,405**	**-**	**-**	**12,225,320**
Loans and advances, net	**28,477,719**	**10,264,436**	**31,127,360**	**34,850,284**	**104,719,799**
Investments	**6,374,904**	**230,398**	**6,336,573**	**5,847,581**	**18,789,456**
Other assets	**3,557,019**	**-**	**-**	**-**	**3,557,019**
Financial assets	**52,440,327**	**18,276,239**	**37,463,933**	**40,697,865**	**148,878,364**
Non-financial assets					**8,601,973**
Total assets					**157,480,337**
LIABILITIES					
Due to banks	**8,176,740**	**70,596**	**-**	**-**	**8,247,336**
Customers' deposits	**71,328,046**	**18,523,914**	**2,696,382**	**10,925,391**	**103,473,733**
Term loans	**-**	**6,138,479**	**6,347,986**	**208,259**	**12,694,724**
Sukuk financing instruments	**-**	**-**	**2,387,450**	**-**	**2,387,450**
Other liabilities	**3,909,978**	**-**	**-**	**-**	**3,909,978**
Total liabilities	**83,414,764**	**24,732,989**	**11,431,818**	**11,133,650**	**130,713,221**

32 RISK MANAGEMENT *continued*

32.3 Liquidity risk and funding management *continued*

The maturity profile of the financial assets and liabilities at 31 December 2010 was as follows:

	Less than 3 months AED 000	*3 months to 1 year AED 000*	*1 year to 5 years AED 000*	*Over 5 years AED 000*	*Total AED 000*
ASSETS					
Cash and balances with UAE Central Bank	4,026,300	4,500,000	-	-	8,526,300
Due from banks and financial institutions	10,212,421	55,095	-	-	10,267,516
Loans and advances, net	22,431,032	14,319,251	29,644,116	29,233,617	95,628,016
Investments	8,968,135	2,290,864	646,566	3,082,739	14,988,304
Other assets	3,156,187	-	-	-	3,156,187
Financial assets	48,794,075	21,165,210	30,290,682	32,316,356	132,566,323
Non-financial assets					8,191,681
Total assets					140,758,004
LIABILITIES					
Due to banks	1,527,086	-	-	-	1,527,086
Customers' deposits	67,548,902	20,205,535	2,233,507	8,753,992	98,741,936
Term loans	-	550,950	6,454,379	4,718,346	11,723,675
Other liabilities	4,134,159	-	-	-	4,134,159
Total liabilities	73,210,147	20,756,485	8,687,886	13,472,338	116,126,856

The table below summarises the maturity profile of the Bank's financial liabilities at 31 December 2011 and 2010 based on contractual undiscounted repayment obligations, including cash flows pertaining to principal repayment and interest payable to maturity.

	Less than 3 months AED 000	*3 months to 1 year AED 000*	*1 year to 5 years AED 000*	*Over 5 years AED 000*	*Total AED 000*
2011					
LIABILITIES					
Due to banks	**8,183,850**	**70,815**	**-**	**-**	**8,254,665**
Customers' deposits	**71,591,554**	**18,947,333**	**2,718,763**	**10,956,215**	**104,213,865**
Term loans	**94,126**	**6,436,091**	**7,342,858**	**215,220**	**14,088,295**
Sukuk financing instruments	**45,326**	**90,651**	**2,704,730**	**-**	**2,840,707**
Other liabilities	**3,909,978**	**-**	**-**	**-**	**3,909,978**
Total liabilities	**83,824,834**	**25,544,890**	**12,766,351**	**11,171,435**	**133,307,510**
2010					
LIABILITIES					
Due to banks	1,527,834	-	-	-	1,527,834
Customers' deposits	67,891,749	20,897,339	2,483,537	8,764,493	100,037,118
Term loans	55,342	829,255	7,508,513	4,964,666	13,357,776
Other liabilities	4,134,159	-	-	-	4,134,159
Total liabilities	73,609,084	21,726,594	9,992,050	13,729,159	119,056,887

32 RISK MANAGEMENT *continued*

32.3 Liquidity risk and funding management *continued*

The disclosed financial instruments in the above table are the gross undiscounted cash flows. However, those amounts may be settled gross or net. The following table shows the reconciliation of the carrying amounts of derivatives and their future cash flows.

	Less than 3 months AED 000	*3 months to 1 year AED 000*	*1 year to 5 years AED 000*	*Over 5 years AED 000*	*Total AED 000*
2011					
Inflows	**106,836**	**118,968**	**778,143**	**634,863**	**1,638,810**
Outflows	**(105,246)**	**(175,233)**	**(830,036)**	**(659,310)**	**(1,769,825)**
Net	**1,590**	**(56,265)**	**(51,893)**	**(24,447)**	**(131,015)**
2010					
Inflows	451,130	2,487,367	2,847,504	6,198,309	11,984,310
Outflows	(453,627)	(2,507,968)	(2,941,440)	(6,191,699)	(12,094,734)
Net	(2,497)	(20,601)	(93,936)	6,610	(110,424)

The table below shows the contractual expiry by maturity of the Bank's contingent liabilities and commitments.

	Less than 3 months AED 000	*3 months to 1 year AED 000*	*1 to 5 years AED 000*	*Over 5 years AED 000*	*Total AED 000*
2011					
Contingent liabilities	**43,132,884**	**9,762,257**	**14,458,368**	**-**	**67,353,509**
Commitments	**532,529**	**3,560,889**	**523,919**	**-**	**4,617,337**
Total	**43,665,413**	**13,323,146**	**14,982,287**	**-**	**71,970,846**
2010					
Contingent liabilities	37,373,647	6,032,226	18,465,545	-	61,871,418
Commitments	956,622	4,567,410	639,899	-	6,163,931
Total	38,330,269	10,599,636	19,105,444	-	68,035,349

The Bank expects that not all of the contingent liabilities or commitments will be drawn before expiry of the commitments.

32.4 Market risk

Market risk is the risk that the fair value and future cash flows of financial instruments will fluctuate due to changes in market variables such as interest rates, foreign exchange rates, and equity prices.

Interest rate risk

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows or the fair values of financial instruments. Effective hedging strategies are in place to ensure that interest rate fluctuations do not cause significant changes in future cash flows or fair value of financial instruments.

The following table estimates the sensitivity to a reasonable possible change in interest rates on the Bank's income statement. The sensitivity of the income statement is the effect of the assumed changes (whether increase or decrease) in interest rates on the net interest income for one year, based on the floating rate financial assets and financial liabilities, denominated in various currencies, held at 31 December 2011 and 2010, with all other variables held constant.

32 RISK MANAGEMENT *continued*

32.4 Market risk *continued*

Currency	*AED*	*USD*	*EUR*	*GBP*	*Others*
Assumed change in interest rates	0.50%	0.50%	0.50%	0.50%	0.50%
Impact on net interest income from increase in interest rates:					
2011 (AED 000)	**(6,052)**	**30,189**	**(2,539)**	**(364)**	**(7,535)**
2010 (AED 000)	43,744	(17,650)	(63)	(8,204)	(968)
Impact on net interest income from decrease in interest rates:					
2011 (AED 000)	**6,052**	**(30,189)**	**2,539**	**364**	**7,535**
2010 (AED 000)	(43,744)	17,650	63	8,204	968

(Amounts in brackets reflect decreases in net interest income.)

The sensitivity of equity is calculated by revaluing fixed rate available for sale financial assets, including the effect of any associated hedges, and swaps designated as cash flow hedges, for the effects of the assumed changes in interest rates. At 31 December 2011 and 2010, the effect of the assumed changes in interest rates on equity is as follows.

Currency	*USD*
Assumed change in interest rates	0.50%
Impact on equity from increase in interest rates:	
2011 (AED 000)	**(42,391)**
2010 (AED 000)	(16,165)
Impact on equity from decrease in interest rates:	
2011 (AED 000)	**43,736**
2010 (AED 000)	16,632

32 RISK MANAGEMENT *continued*

32.4 Market risk *continued*

Currency risk
Currency risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates. The Board has set limits on positions by currency. Positions are monitored on a daily basis and hedging strategies are used to ensure positions are maintained within established limits.

The tables below indicate the currencies to which the Bank had significant exposure at 31 December 2011 and 2010 on its monetary assets and liabilities and its forecast cash flows. The analysis estimates the effect of a reasonably possible movement of AED against other currencies, with all other variables held constant on the consolidated income statement.

Currency	USD	EUR	GBP	Libyan Dinar
Assumed change in exchange rates	1%	1%	1%	1%
Impact on operating income from increase in exchange rates:				
2011 (AED 000)	**(12,289)**	**(84)**	**5**	**(3,781)**
2010 (AED 000)	4,531	-	(26)	(3,823)
Impact on operating income from decrease in exchange rates:				
2011 (AED 000)	**12,289**	**84**	**(5)**	**3,781**
2010 (AED 000)	(4,531)	-	26	3,823

(Amounts in brackets reflect decreases in operating income.)

At 31 December 2011 and 2010, the effect of the assumed changes in exchange rates on equity is insignificant.

Equity price risk
Equity price risk is the risk that the fair values of equities decrease as the result of changes in the levels of equity indices and the value of individual stocks. The equity price risk exposure arises from the Bank's investment portfolio.

The following table estimates the sensitivity to a possible change in equity markets on the Bank's income statement. The sensitivity of the income statement is the effect of the assumed change in the reference equity benchmark on the fair value of investments carried at fair value through the income statement.

	Assumed level of change %	***Impact on net income 2011 AED 000***	*Impact on net income 2010 AED 000*
Investments carried at fair value through the income statement			
Reference equity benchmarks:			
Abu Dhabi Securities Exchange Index	5%	**4,918**	6,982
Dubai Financial Market Index	5%	**844**	1,489
Net asset value of managed funds	5%	**7,647**	6,946
Other equity exchanges	5%	**4,043**	2,886
Unquoted	5%	**1,011**	959

32 RISK MANAGEMENT *continued*

32.4 Market risk *continued*

Equity price risk *continued*
The effect on equity (as a result of a change in the fair value of equity instruments held as available for sale at 31 December 2011 and 2010) due to a reasonably possible change in equity indices, with all other variables held constant, is as follows.

	Assumed level of change %	***Impact on equity 2011 AED 000***	*Impact on equity 2010 AED 000*
Available for sale investments			
Reference equity benchmarks:			
Net asset value of private equity funds	5%	**68,968**	63,415

Prepayment risk
Prepayment risk is the risk that the Bank will incur a financial loss because its customers and counterparties repay or request repayment earlier or later than expected, such as fixed rate mortgages when interest rates fall.
The effect on profit for one year, assuming 10% of repayable financial instruments were to prepay at the beginning of the year, with all other variables held constant, is estimated at AED 413,308 thousand (2010: AED 435,234 thousand).

Operational risk
Operational risk is the risk of direct or indirect loss arising from inadequate or failed internal processes, systems failure, human error, fraud or external events. When required controls fail, operational risks can cause damage to reputation, have legal or regulatory implications, or lead to financial loss. While the Bank cannot expect to eliminate all operational risks, through a control framework and by continuous monitoring and responding to potential risks, the Bank is able to manage these risks. Controls include effective segregation of duties, appropriate access, authorisation and reconciliation procedures, staff training and robust assessment processes. The processes are reviewed by risk management and internal audit on an ongoing basis.

33 FAIR VALUE OF FINANCIAL INSTRUMENTS

While the Bank prepares its financial statements under the historical cost convention modified for measurement to fair value of investment securities (other than held to maturity investments and certain unquoted investments), investment properties and derivative financial instruments, in the opinion of management, the estimated carrying values and fair values of those financial assets and liabilities, other than the Government deposit referred to in note 11, that are not carried at fair value in the financial statements are not materially different, since assets and liabilities are either short term in nature or in the case of deposits and performing loans and advances, frequently repriced. For impaired loans and advances, expected cash flows, including anticipated realisation of collateral, were discounted using the original interest rates, considering the time of collection and a provision for the uncertainty of the cash flows.

The carrying value of unquoted investments stated at cost and fair value of held to maturity investments are disclosed in note 5. The fair value of the Government deposit cannot be reliably estimated as this is dependent on the amounts and timing of future loan disbursement under the housing loans scheme. Details of the Government deposit are disclosed in note 11.

33 FAIR VALUE OF FINANCIAL INSTRUMENTS *continued*

The Bank uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities;

Level 2: other techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly; and

Level 3: techniques which use inputs which have a significant effect on the recorded fair value that are not based on observable market data.

The following table shows the analysis of financial instruments recorded at fair value by level of the fair value hierarchy:

	Level 1 2011 AED 000	***Level 2 2011 AED 000***	***Level 3 2011 AED 000***	***Total 2011 AED 000***
FINANCIAL ASSETS				
INVESTMENTS				
Carried at fair value through income statement				
Investments in managed funds	**-**	**152,932**	**-**	**152,932**
Investments in equities- Quoted	**196,105**	**-**	**20,226**	**216,331**
Debt securities	**133,895**	**-**	**-**	**133,895**
Available for sale investments				
Investments in equities - Unquoted	**-**	**390,762**	**74,125**	**464,887**
Investments in private equity funds	**-**	**1,379,359**	**-**	**1,379,359**
Debt securities	**2,299,673**	**-**	**-**	**2,299,673**
	2,629,673	**1,923,053**	**94,351**	**4,647,077**
DERIVATIVES – Positive fair value				
Derivatives held for trading				
Forward foreign exchange contracts	**-**	**50,768**	**-**	**50,768**
Interest rate swaps, caps and collars	**-**	**442,705**	**-**	**442,705**
Credit default swaps	**-**	**345**	**-**	**345**
Options	**-**	**8,741**	**-**	**8,741**
Futures	**439**	**-**	**-**	**439**
Derivatives held as fair value hedge				
Interest rate swaps	**-**	**4,013**	**-**	**4,013**
Cross currency swaps	**-**	**95,469**	**-**	**95,469**
	439	**602,041**	**-**	**602,480**
DERIVATIVES – Negative fair value				
Derivatives held for trading				
Forward foreign exchange contracts	**-**	**45,459**	**-**	**45,459**
Interest rate swaps, caps and collars	**-**	**600,551**	**-**	**600,551**
Credit default swaps	**-**	**1,771**	**-**	**1,771**
Options	**-**	**10,677**	**-**	**10,677**
Commodity linked swap	**-**	**32,280**	**-**	**32,280**
Derivatives held as fair value hedge				
Interest rate swaps	**-**	**51,631**	**-**	**51,631**
	-	**742,369**	**-**	**742,369**

33 FAIR VALUE OF FINANCIAL INSTRUMENTS *continued*

The following table shows the analysis of financial instruments recorded at fair value by level of the fair value hierarchy:

	Level 1 2010 AED 000	*Level 2 2010 AED 000*	*Level 3 2010 AED 000*	*Total 2010 AED 000*
FINANCIAL ASSETS				
NON TRADING INVESTMENTS				
Carried at fair value through income statement				
Investments in managed funds	-	138,922	-	138,922
Investments in equities- Quoted	227,155	-	19,175	246,330
Debt securities	21,579	-	-	21,579
Available for sale investments				
Investments in equities - Unquoted	-	-	77,812	77,812
Investments in private equity funds	-	1,268,300	-	1,268,300
Debt securities	767,248	-	-	767,248
Credit linked notes	-	183,650	-	183,650
	1,015,982	1,590,872	96,987	2,703,841
DERIVATIVES – Positive fair value				
Derivatives held for trading				
Forward foreign exchange contracts	-	20,324	-	20,324
Interest rate swaps, caps and collars	-	337,953	-	337,953
Swaptions	-	3,454	-	3,454
Credit default swaps	-	-	-	-
Equity swaps	-	4,850	-	4,850
Options	-	7,914	-	7,914
Futures	165	-	-	165
Derivatives held as fair value hedge				
Interest rate swaps	-	6,048	-	6,048
	165	380,543	-	380,708
DERIVATIVES – Negative fair value				
Derivatives held for trading				
Forward foreign exchange contracts	-	25,341	-	25,341
Interest rate swaps, caps and collars	-	367,771	-	367,771
Swaptions	-	8,031	-	8,031
Credit default swaps	-	3,229	-	3,229
Equity swaps	-	4,642	-	4,642
Options	-	8,909	-	8,909
Commodity linked swap	-	35,371	-	35,371
Derivatives held as fair value hedge				
Interest rate swaps	-	63,180	-	63,180
	-	516,474	-	516,474

The following is a description of the determination of fair value for financial instruments which are recorded at fair value using valuation techniques. These incorporate the Bank's estimate of assumptions that a market participant would make when valuing the instruments.

33 FAIR VALUE OF FINANCIAL INSTRUMENTS *continued*

Investments carried at fair value through income statement
Investments carried at fair value through income statement are listed equities in local as well as international exchanges, and hedged funds. Equity valuations are based on market prices as quoted in the exchange while funds are valued on the basis on Net Asset Value (NAV) statements received from fund managers

Available for sale investments
AFS investments, revaluation gain / loss of which is recognized through equity, comprises long term strategic investments in companies, private equity funds and Eurodollar or AED denominated debt securities. For companies and funds, the financial statements provide the valuations of these investments which are arrived primarily by discounted cash flow analysis. For debt securities, the applied valuation is quoted prices by key market players.

Derivatives
Derivatives are mainly interest rate and currency swaps, asset swaps, options on equities, swaptions and FX forward contracts. The valuation techniques used are models which use observable market data like FX forward rates, interest rate curves of different currencies, the deduced zero curves and forward rates and volatilities of the underlying factors

Transfers between categories

During the reporting periods ending 31 December 2011, there were no transfers between Level 1 and Level 2 fair value measurements.

The following table shows a reconciliation of the opening and closing amount of Level 3 financial assets recorded at fair value.

	2011	*2010*
	AED 000	*AED 000*
At 1 January	**96,987**	61,226
Total gain recorded in equity	**1,367**	586
Transfer from level 2	**1,048**	19,175
(Disposals) additions	**(5,050)**	16,000
At 31 December	**94,352**	96,987

34 CAPITAL ADEQUACY

Capital management
The primary objective of the Bank's capital management is to ensure that the Bank maintains healthy capital ratios in order to support its business, to maximise shareholders' value and to ensure that the Bank complies with externally imposed capital requirements.

The Bank manages its capital structure and makes adjustments to it in the light of changes in economic conditions and the risk characteristics of its activities. In order to maintain or adjust the capital structure, the Bank may adjust the amount of dividend payment to shareholders or issue capital securities. No changes were made in the objectives, policies and processes from the previous years.

34 CAPITAL ADEQUACY *continued*

Capital management *continued*
The capital adequacy ratio calculated in accordance with the guidelines of the U.A.E. Central Bank is as follows:

	2011	*2010*
	AED 000	*AED 000*
Total capital base	**29,285,238**	27,674,323
Risk weighted assets:		
Balance sheet items	**105,758,055**	92,918,388
Off-balance sheet exposures	**30,221,769**	27,740,770
Total risk weighted assets	**135,979,824**	120,659,158
Total assets ratio (%)	**21.5%**	22.9%



Basel II Pillar III Reports

Pillar III Write Up

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2.0 Pillar III Quantitative Disclosures

1.0 Enterprise Risk Management at First Gulf Bank

A well-established risk governance and ownership structure ensures oversight and accountability of the effective management of risk at First Gulf Bank. The Board of Directors (BoD) approves risk management plans for the bank and its subsidiaries, associates and foreign offices including representative offices and overseas branches. Under authority delegated by the BoD, the Risk and Compliance Management Committee (RCMC) through its separately convened risk management meeting formulates high-level enterprise risk management policy, exercises delegated risk authorities and oversees the implementation of risk management framework and controls. It monitors all categories of risk, receives reports on actual performance and emerging issues, determines action to be taken and reviews the efficacy of the bank's risk management framework. In its oversight and stewardship of risk management at Group level, RCMC is supported by a centralized risk management function led by the Chief Risk and Credit Officer (CRCO), who is also a member of the RCMC.

1.1 Risk Appetite

"First Gulf Bank has established its risk appetite framework through a rigorous internal process, according to which existing types of risks are assessed and constantly monitored by risk management. Any relevant issues are escalated to Board level in a timely manner and adjustments to exposure or risk limits are made by the relevant business units whenever necessary in order to continuously align its inherent risks with its business strategy. As such, under the current volatile and challenging market conditions the bank aims to grow its balance sheet moderately in the short- to medium-term by advancing its business in sectors, which have high potential to grow more rapidly than the overall market and second, in sectors where assessed credit risks are below average, which will further strengthen the balance sheet through high quality assets and third, in sectors which are not currently overrepresented in the bank's portfolio. By pursuing its growth opportunities, the bank will generate stable earnings and accommodate the needs of its different stakeholders by reducing various elements of concentration risk at the same time. Furthermore, the bank will continue to be a regional leader in the fulfillment of regulatory requirements."

The bank is in the process of synchronizing the risk appetite defined at bank level vis-à-vis exposure and risk limits across various risk streams viz. credit, market, operational, strategic, etc. The objective of setting risk limit structure would be to correlate risk tolerance with specific business plans. Risk limits would be based on the desired return, implicit risks and bank's capability of managing those risks.

1.2 Risk Governance Structure

The Board of Directors (BoD) is responsible for the overall direction, supervision and control of the bank. The day to day management of the bank is conducted by the Executive Committee, the Managing Director and the CEO. The principal role of the BoD is to oversee implementation of the bank's strategic initiatives and its functioning within the agreed framework in accordance with relevant statutory and regulatory structures. There are three Board level committees to oversee the implementation of bank's policies, BoD's resolutions and to practice the competencies granted to it by the BoD; there are several Management level committees for day to day business decisions. Please refer Note 32.1 of the Financial Statements for further details.

1.3 Enterprise Risk Management Function

First Gulf Bank has a centralized risk management function led by the CRCO. It comprises Credit Risk Management Unit (CRMU), Market Risk Management Unit (MRMU), ALM Risk Management Unit (ALMRMU), Operational Risk Management Unit (ORMU), Compliance unit and Basel II unit. It is the nerve centre for collection of data, analysis of risk drivers, interpretation of outcome and its wide dissemination to relevant committees for risk management.

1.4 Enterprise Risk Management Policy Framework

Bank's Enterprise Risk Management Policy (ERMP) framework aims to accomplish its core values & purpose of being a world class organization maximizing its risk adjusted returns for all stakeholders by establishing an enterprise wide risk management framework across the group including local & international branches, subsidiaries, associates and foreign representative offices. Core objective of ERMP is to provide a reasonable degree of assurance to the BoD that the risks threatening the bank's achievement of its core purpose are being identified, measured, monitored and controlled through an effective integrated risk management system covering Credit, Market, Operational, Interest Rate, Liquidity and all other material risks including Strategic Risk, Country Risk, Reputation Risk, etc. The ERMP framework covers the following risks within its ambit in the form of specific policy documents on the following: Corporate Credit risk, Retail Credit Risk, Market Risk, Operational Risk, Interest Rate risk in the Banking Book, Liquidity Risk, Country Risk, AML and Compliance Risk, Information Security Risk and other material risks viz. Country Risk, Strategic Risk and Reputation Risk. In addition to these risk management policies, the bank has also put in place detailed credit policies and procedures in the corporate and retail banking areas. This framework is cascaded in a hierarchy of policy manuals throughout the group and communicates standards, instructions and guidance to employees.

1.5 Overview of Enterprise Risk Management Process

1.5.1 Risk Identification and Assessment

Credit Risk: Credit Risk is defined as the possibility of losses associated with diminution in the credit quality of borrowers or counter-parties. In a Bank's portfolio, losses stem from outright default due to inability or unwillingness of a customer or counter-party to meet commitments in relation to lending, trading, settlement and other financial transactions. Alternatively, losses result from reduction in portfolio value arising from actual or perceived deterioration in credit quality. The Credit Analysis team in the bank undertakes detailed appraisal of credit proposals and prepares a Credit Analysis package with detailed analysis of the customer, requested facility / product and the credit risk mitigants. The overall package is presented to the Credit Committee for discussion and decision on the credit proposal. A detailed quantitative analysis of credit risk has been carried out in the Note 32.2 of the Financial Statements.

The Bank is in the process of establishing a dual risk rating framework for identification of credit risk, wherein each borrower is assigned an obligor level credit rating and each facility to the borrower is assigned a facility level rating. This two-dimensional rating framework will separately assess the customer risk from the transaction risk. This will involve estimation of credit risk parameters viz. Probability of Default (PD) to estimate default risk, Loss Given Default (LGD) to estimate loss in the event of a default and Exposure at Default (EAD) to estimate exposure at risk. In the wholesale banking portfolio, the bank has developed several PD models which include industry specific corporate models, FI model, HNI model, Sovereign model, Non Banking Financial Institutions model and Specialized Lending models. Independent external validation of part of these models has already been carried out and the validated models are under the use-testing process. Detailed documentation pertaining to model development, testing, validation, use-testing and governance has been prepared to aid the IRB application process.

In the retail banking portfolio, First Gulf Bank has developed several product specific PD models which include models for Credit Cards, Personal Loans, SME Loans, Auto Loans, Residential Mortgage Loans, etc. Currently the Bank is in the process of carrying out external validation for the retail models.

The Bank is also in the process of automation of its corporate credit appraisal system through implementation of a web based credit appraisal and decision system that enables origination, monitoring and management of wholesale credit risk exposure.

Credit Concentration Risk: Concentrations of credit risk arise when a number of counter-parties are engaged in similar business activities, or activities in the same geographic region, or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations of credit risk indicate the relative sensitivity of the Bank's performance to developments affecting a particular industry or geographic location. The Bank assesses concentration risk on a regular basis through regular monitoring and reporting of credit portfolio. A detailed quantitative analysis of concentration risk has also been carried out in the Note 32.2 of the Financial Statements.

Market Risk: Market risk is defined as risk of losses in on and off-balance sheet positions arising from changes in Interest Rates in the trading book, Equity prices in the trading book, Foreign Exchange rates (including gold) in both trading and banking books, Commodity prices in both trading and banking books and also includes Options risk. First Gulf Bank classifies market risk accordingly. Valuations of all positions in the trading book are carried out on a mark-to-market basis. Currently the Bank follows the mark-to-market methodology for measuring the risk exposed in the Trading book. All positions in derivatives and structured products are broken down to relevant underlying positions and then subjected to a thorough risk identification process which includes identification of whether the position is exposed to Options risk or not, determination of the type of option if exposed to Options Risk, for non-option positions, determination of whether such position is exposed to interest rate risk, equity position risk, commodities risk and foreign exchange risk. The Bank is in the process of moving on to the VaR based approaches for measurement of market risk and setting of risk limits. A detailed quantitative analysis of market risk has been carried out in the Note 32.4 of the Financial Statements.

Operational Risk: Operational risk is defined as the risk of loss resulting from inadequate or failed internal processes, people and systems or from external events. This definition includes legal risk, information technology and information security related risks but excludes strategic and reputation risk. The Bank adopts the methodology of 'Self Assessment' by various units on a bottom up approach for identification of operational risk. The assessment includes risks assessment on various processes across business and support units as well as setting of Key Risk Indicators (KRIs). The Bank is in the process of undertaking a Risk and Control Self Assessment exercise wherein all business and support units would be assessing their risks and controls. The Bank also maintains an internal loss database that stores details pertaining to operational losses. First Gulf Bank currently undertakes operational risk measurement as per the standardized approach of Basel II.

Interest Rate Risk / Liquidity Risk: Interest Rate risk in the Banking Book is defined as the exposure of a bank's earnings and capital to adverse changes in interest rates. Liquidity risk is defined as the risk to earnings and capital arising from a bank's inability to meet its obligations when they become due, without incurring unacceptable losses. Liquidity risk often results in risks related to reputation, legal and business continuity as it impacts the ability to fulfill financial obligations and often have a systemic impact. First Gulf Bank follows the primary approach of recognizing all interest bearing / interest sensitive assets and liabilities - both on and off balance sheet - in order to assess the impact of Interest rate risk on its portfolio. Further, the types of interest rate risk are identified (repricing risk, basis risk, yield curve risk) for sound management of interest rate risk. Special care is taken in the identification of risk associated with interest rate derivatives or structured products, where sensitivity to interest rates are often in conjunction with some other underlying risk factor. Positions in such structured products and derivatives are broken down into underlying factors for identification of the interest rate risk type.

Like in the case of Interest Rate risk, Liquidity risk is a bank level risk contributed by mismatches in cash flows from assets & liabilities both on and off-balance sheet. The Bank follows several indicators for identification of liquidity risks on its portfolio. These indicators include frequency of Treasury accessing money market for funds, illiquidity of trading positions, margin calls on unsettled positions requiring cash outflow, downgrading by external rating agencies, lowering of counterparty limits by other banks, widening of bid-offer spread in case of traded instruments signaling lower liquidity, etc. Apart from undertaking Rate sensitive gap analysis, Net Interest Income (NII) sensitivity analysis, Liquidity

gap analysis, the Bank also undertakes stress testing on a regular basis to assess the impact of interest rate risk and liquidity risk on its book. Detailed quantitative analyses of liquidity risk and interest rate risk have been carried out in the Note 32.3 and 32.4 of the Financial Statements.

Country Risk: Country risk is the likelihood of economic, social, and political events in a foreign country negatively influencing the willingness or ability of state owned and / or privately owned customers in that country to pay their debts on time. The Bank can get exposed to country risk in numerous ways viz. International lending operations, On balance sheet activities such as overseas investments, placements etc, Off balance sheet exposures such as letters of credit, guarantees / bonds, foreign exchange contracts etc, Foreign Currency Lending to domestic obligors, Exposure to domestic entities that have significant cross border exposures, Secured Lending to a Domestic Borrower where collateral is located in a foreign country, etc. The Bank undertakes a detailed qualitative analysis pertaining to country risk as a part of the business decision process. These factors include economic, social and political stability in each country, the monetary policy, the foreign exchange control measure, the transparency of information, the financial and market structure, such as commercial banks' supervision policy of the supervisory authority in that country, the legal system, and the accounting standards, etc. The Bank has incorporated macro-economic factors such as exchange rate, inflation rate, interest rate, public debt, short-term debt, GDP growth, unemployment rate, liquidity factors, government's capability in generating revenue and other relevant statistics along with obligor and facility specific factors as a part of business decision (credit risk modeling) process.

Strategic Risk: Strategic risk refers to the risk of current or prospective impact on the Bank's earnings, capital, reputation or standing arising from changes in the environment the Bank operates in and from adverse strategic decisions, improper implementation of decisions, or lack of responsiveness to industry, economic or technological changes. It is a function of compatibility of the Bank's strategic goals, strategies developed to achieve those goals, resources deployed to meet those goals and the quality of implementation. The Bank uses several factors to identify and assess impact of strategic risk on its books. These factors include level of integration of risk management policies and practices in the strategic planning process, aggressiveness of strategic goals and compatibility with developed business strategies, capital support for the strategic initiatives to take care of earnings volatility, effectiveness of communication & consistency of application of strategic goals, objectives, corporate culture, and behavior throughout the Bank, effectiveness of MIS to support strategic direction and initiatives, etc.

Compliance Risk: Compliance risk refers to the risk to earnings or capital or reputation or continued business existence arising from violations of or non-conformance with laws, rules, regulations, prescribed practices, or ethical standards. From enterprise risk management view point compliance risk is one of the more significant operational risks as it snowballs into reputation risk and reduces investor and customer confidence in the organization. First Gulf Bank, on a continuous basis, identifies and assesses such risks inherent in all new and existing products, activities, processes and systems. The assessment includes risks assessment on non-conformance with laws, rules, regulations, prescribed practices, or ethical standards. As a part of the overall Enterprise Risk Management structure, the Bank has an independent compliance function that develops internal controls to manage such risks and it is supported by Bank's Internal Audit and Legal teams.

Reputation Risk: Reputation risk is the risk to earnings or capital arising from negative public opinion. This can be due to external or internal events. First Gulf Bank identifies and assesses reputation risk by clearly defining types of risk to be captured, establishing key sources of reputation risk it may be exposed to based on individual circumstances, describing the risks identified in terms of the nature of risk and the potential consequences that the risks may bring to bank's reputation. The Bank also refers to other relevant information for risk identification purposes. Such information may, for example, is often sourced from media reports, stakeholder analysis reports, internal audit and compliance reports, management exception reports, or other early warning indicators.

1.5.2 Risk Monitoring and Control

Risk Monitoring and Control are essential to ensure that the overall risk assumed by the Bank is in conformity with Enterprise Risk Management Policy parameters. Monitoring and controlling risks is primarily performed based on established exposure and stop loss limits; the Bank is in the process of setting up risk limits as well in near future. The exposure limits reflect the business strategy and market environment of the Bank as well as the level of exposure that the bank is willing to accept. In addition, the Bank monitors and measures the overall risk bearing capacity in relation to the aggregate risk exposure across all risk types and activities. Information compiled from all the businesses is examined and processed in order to analyze, monitor and control risks. This information is presented and explained to the RCMC. The report includes aggregate risk exposures, limit exceptions and risk profile changes. On a monthly basis detailed reporting of exposures across industries, customers and geography is undertaken. Across all levels throughout the Bank, specifically tailored risk reports are prepared and distributed in order to ensure that all business divisions have access to extensive, necessary and up-to-date information.

Credit Risk and Credit Concentration Risk: As a part of credit risk monitoring and control framework First Gulf Bank undertakes regular risk monitoring and provides Senior Management and BoD assurance that established controls in the form of exposure limits are functioning properly. Risk Monitoring is carried out at both individual and portfolio level by appropriate authorities along several parameters which include credit portfolio quality (NPL accounts, Past Due accounts, watchlist accounts), provisioning levels, exposure limits across several dimensions, financial & operating performance, account conduct, end use of funds, adequacy of credit risk mitigants, adherence to financial and non-financial covenants, recovery performance, rating system performance, etc.

Market Risk: For market risk, exposure limits and stop loss limits are monitored on a daily basis which allows the bank to identify level of exposure across asset classes, risk factors etc. These limits are checked for adherence prior to sanctioning of any fresh limits and enhancement of existing limits. Monitoring of these limits is undertaken across several dimensions: limit utilization versus the set exposure limits, concentration of exposures, frequency of breaches of limits, size of breaches over the set exposure and stop loss limits, etc. The necessary decisions of exiting from the position or holding are made on the basis of these limits. From a risk control perspective these limits play a crucial role in controlling risk at a transaction level; at the same time the Bank uses all necessary strategies pertaining to hedging, diversification, reshuffling of portfolio for a portfolio wide risk control.

Operational Risk: The Bank monitors and controls operational risk across its processes through a framework comprising risk policies, manuals and detailed processes which serve as control points against operational risk, a proper delegation of authority and governance in the form of various committees, three lines of defense for risk management (Businesses, Risk and Audit), setting and monitoring of KRI limits and breaches and monitoring of operational losses. In case KRI thresholds are breached or exceeded; concerned business / support unit draws-up risk mitigation plans to effectively address the underlying risk. The bank also adopts the 'four-eye principle' to limit and control operational risks in bank-wide activities. This principle advocates the need for a maker and checker for all key transactions performed by the Bank.

Liquidity and Interest Rate Risks: The Bank has developed system capabilities to measure the liquidity gaps and repricing gaps considering the behavioral analysis of the various products. These gaps are monitored against certain internal benchmarks for ascertaining trends. The impact of a parallel shift on the interest rate curves on the Net Interest Income (NII) and Equity is also ascertained. Risk management function presents these gap reports along with the sensitivity reports to Asset Liability Committee (ALCO) for review. The Bank has set exposure limits across several dimensions that include level of capital, level of earnings, changes in interest rates, level of current and projected liquidity, etc.

Country Risk: Country risks are monitored and controlled using country limits set by the Bank; these limits are in accordance with Bank's overall business strategy, capital adequacy and provisions for potential risks, risk rating of each country, acceptable level of risk, and business opportunities in each country.

Strategic Risk: Strategic risks are monitored and controlled as part of the strategic planning process wherein the Bank reviews the progress on strategic initiatives vis-à-vis the plan and considers whether the progress is in line with the plan and the external business environment. The strategic plan is reviewed on a regular basis.

Compliance Risk: In order to monitor compliance and anti-money laundering risks, the Bank has set in place the due diligence processes, reviews of policies and procedures across the Bank, implementation of an integrated compliance & AML system which manages name clearance, transaction monitoring and payment monitoring activities, assessment through compliance check-lists, etc.

Reputation Risk: For reputation risks, the Bank has established processes for regular monitoring of external and internal events that can result in possible reputation risks. These processes allow the BoD and Senior Management to take prompt corrective actions to address any anticipated reputation event in advance.

1.5.3 Risk Mitigation

First Gulf Bank has set up a framework for credit risk mitigation as a means towards reducing credit risk in an exposure, at facility level, by a safety net of tangible and realizable securities including approved third-party guarantees / insurance. The types of Credit Risk Mitigation (CRM) include Netting Agreements, Collaterals, Guarantees, Credit derivatives, SBLC and Comfort Letters. The Bank ensures that all documentation used in collateralized transactions and for documenting on and off balance sheet netting, guarantees, credit derivatives and collateral is binding on all parties and is legally enforceable in all relevant jurisdictions. The Bank also ensures that all the documents are reviewed by appropriate authority and have appropriate legal opinions to verify and ensure its enforceability.

As part of its market risk management, the Bank uses derivatives and other instruments to manage exposures resulting from changes in interest rates and foreign currencies. The risk profile is assessed before entering into hedge transactions, which are authorized by the appropriate personnel within the Bank. The effectiveness of hedges is assessed and monitored on a regular basis.

As a part of the operational risk mitigation process, the Bank draws up risk mitigation plan for every mismatch noticed in the risk assessment process as well as for breaches in the KRI thresholds.

For Liquidity purposes, ALCO ascertains its net liquid assets and compares it with its liquidity gaps over the short term horizon (up to 3 months) to ascertain its adequacy and takes remedial actions, if required, accordingly. For Interest Rate risk, the repricing gaps are reviewed by the ALCO and hedging decisions, if required, are executed by Treasury, as advised by the ALCO. Also, for extreme cases of stress on liquidity, the Bank has put in place a contingency funding plan.

First Gulf Bank counters any kind of strategic risk through a strategic planning process wherein it identifies and assesses potential risks posed by the strategic plan and considers whether it has adequate capacity to withstand the risks. The strategic plan is periodically reviewed and changes to the plan, such as modifying existing strategies or adding new ones are subject to an approval process which is also a part of the strategic planning process.

The Bank counters country specific risk through a series of measures that includes country specific limit setting.

The compliance risk is largely mitigated by way of focused policies and procedures, extensive checklist based and on-spot due diligence and regular training sessions. The Bank has elaborate process of customer transaction tracking through the IT system and regular reporting. High risk customers / entities (PEP / High Risk Countries, etc.) are scrutinized extensively and reported in line with the regulatory requirement.

In order to manage reputation risks, the Bank has set in place a mechanism that entails drawing up action plans to identify reputation risk events and facilitate subsequent monitoring of the progress made; for those risks that may be very difficult or too costly to eliminate entirely, the mechanism requires development of contingency plans as response actions; for those risks that may be tolerated for the time being, the mechanism necessitates keeping these risks under periodic review to ensure that their status is unchanged and the approach of not taking any specific action remains appropriate.

1.5.4 Risk Reporting

Risk Reporting is essential to facilitate communication of risk information to relevant recipients to enable effective oversight on various components of enterprise risk management. The Bank has put in place a comprehensive risk reporting mechanism in the form of daily, fortnightly, monthly, quarterly and annual reports that provide wide array of risk related information to concerned audience. These reports highlight key risks at a transaction level as well as at portfolio level for various businesses. In addition, through a comprehensive reporting mechanism RCMC is updated on all the major risks on a regular basis.

1.5.5 Stress Testing

First Gulf Bank has put in place a comprehensive stress testing methodology and a detailed stress testing of its entire portfolio is undertaken on a regular basis. The stress testing methodology includes all the major business activities of the Bank and assesses the impact of a combination of sensitivities on each area of risk that is perceived as being material to the Bank. The Bank also undertakes the Pillar II process in the form of Internal Capital Adequacy Assessment Process (ICAAP), thereby assessing its material risks and highlighting its risk bearing capacity vis-à-vis these risks.

2.0 Pillar III Quantitative Disclosures

Please refer to the tables in the next few pages, which set out disclosures pertaining to Pillar III of Basel II.

Name of the Report

1 Information on Subsidiaries & Significant investments

2 Consolidated Capital Structure

3 Capital Adequacy

4(a) Qualitative disclosures - Risk Management

4(b) Gross Credit Exposure by Currency

4(c) Gross Credit Exposure by Geographical Distribution

4(d) Gross Credit Exposure by Industry Segment

4(e) Gross Credit Exposure by Residual Contractual Maturity

4(f) Impaired Loans by Industry Segment

4(g) Impaired Loans by Geographical Distribution

4(h) Reconciliation of changes in Provision for Impaired Loans

4(i) Basel II Portfolio as per Standardized Approach

5 Basel II Portfolio as per Standardised Approach (Rated / Unrated)

6 Credit Risk Mitigation - Disclosures For Standardised Approach

7 Counterparty Credit Risk Exposure

8 Market Risk - Capital Requirements Under Standardized Approach

9 Equity Position

10 Interest Rate Risk in the Banking Book

1. INFORMATION ON SUBSIDIARIES & SIGNIFICANT INVESTMENTS

	Country of Incorporation	% Ownership	Description	Accounting Treatment
Subsidiaries				
First Merchant International LLC	UAE	100%	Merchant Banking	Full Consolidation
First Gulf Properties LLC	UAE	100%	Real Estate Management / Brokerage	Full Consolidation
Mismak Properties Co. LLC (Mismak)	UAE	100%	Real Estate Investments	Full Consolidation
Radman Properties Co. LLC (subsidiary of Mismak)	UAE	80%	Real Estate Investments	Full Consolidation
FGB Sukuk Company Limited	Cayman Islands	100%	Special Purpose Vehicle	Full Consolidation
Significant Investments				
First Gulf Financial Services LLC	UAE	45%	Equity Brokerage	Deduction
Green Emirates Properties PJSC	UAE	40%	Real Estate Management/ Investments	Deduction
Aseel Finance PJSC	UAE	40%	Islamic Financing	Deduction
Midmak Properties LLC	UAE	16%	Real Estate Management/ Investments	Deduction

2. CONSOLIDATED CAPITAL STRUCTURE

All numbers in AED 000

	Summary Terms & conditions of main features of all capital instruments	Amount
Tier 1 Capital		
1. Paid up share capital / common stock	Note 16 of the Financial Statements for 2011	1,500,000
2. Reserves		
a. Statuatory reserve	Note 19 of the Financial Statements for 2011	8,780,110
b. Special reserve	Note 19 of the Financial Statements for 2011	846,648
c. General reserve	Note 19 of the Financial Statements for 2011	120,000
d. Retained Earnings		10,078,027
3. Minority interest in the equity of subsidiaries		115,688
Deffered Tax equity		
4. Innovative capital instuments		
5. Other Capital Instruments		
a. Mandatory Convertible Bonds	Note 20 of the Financial Statements for 2011	-
b. Interest Paid Convertible Bonds	Note 20 of the Financial Statements for 2011	(81,462)
c. Subordinated Perpetual Notes	Note 18 of the Financial Statements for 2011	4,000,000
d. Interest Paid Perpetual Notes	Note 18 of the Financial Statements for 2011	(240,000)
6. Surplus Capital from Insurance companies		
Sub Total		**25,119,011**
Less: Deductions from regulatory calculation		
Less: Deductions from Tier 1 Capital	Foreign Currency Translation Reserve	(22,503)
Tier 1 Capital - SubTotal		**25,096,508**
Tier 2 Capital	**Note 12 of the Financial Statements for 2011 (Federal Government Loan), Cumulative Changes in the Fair Value and General Provisions**	**6,011,184**
Less: Other deductions from capital	**Note 6 of the Financial Statements for 2011**	**(443,810)**
Tier 3 capital		
Total eligible capital after deduction		**30,663,882**

3. CAPITAL ADEQUACY

All numbers in AED 000

	Capital Requirements	RWA	Capital Charge
	1. Credit Risk		
	a. Standardized Approach	135,097,018	16,211,642
OR	b. Foundation IRB		
OR	c. Advanced IRB		
	2. Market Risk		
	a. Standardized Approach	2,982,720	298,272
OR	b. Models Approach		
	3. Operation Risk		
	a. Basic Indicator Approach		
OR	b. Standardised Approach/ASA	7,197,657	863,719
OR	c. Advanced Measurement Approach		
		145,277,395	
	Total Capital requirements		**17,373,633**
	Capital Ratio		
	a. Total for Top consolidated Group		**21.1%**
	b. Tier 1 ratio only for top consolidated Group		**17.3%**
	c. Total for each significant bank subsidiary		

4. (a) QUALITATIVE DISCLOSURES MANAGEMENT RISK

Definition of past due and impaired (for accounting purposes)
First Gulf Bank considers any overdue payment as "Past Due" and considers 90 days past due as "Impaired" per the UAE Central Bank circular 28/2010 on regulations regarding classification of loans and their provisions.
Description of approaches followed for specific and general allowances and statistical methods
Specific
First Gulf Bank reviews its impaired loans and advances in the Corporate and Retail portfolio on a regular basis to assess the amount of specific provision for impairment to be recorded in the consolidated income statement. First Gulf Bank makes provisions for impaired assets based on UAE Central Bank circular 28/2010. The bank classifies its commercial and corporate loans portfolio in 5 grades as per the circular and takes specific provisions for grades 'Substandard', 'Doubtful' and 'loss' as per the regulations in the circular. For retail and consumer loans, the bank takes specific provisions based on number of days past due as per the circular. All the regulations in the circular including regulations pertaining to calculation of provisions and collateral value, interest suspension on past due loans, interest suspension on overdraft facilities, provisioning for off balance sheet items, write-backs of provisions and write-off of loans and advances are consistently followed.
General
As per the UAE Central Bank circular 28/2010, general provisions requirement is assessed based on the risk weighted assets calculation for total unclassified loans & advances. The bank takes general provisions for grades 'Normal' and 'Watchlist' as per the circular. The provisions requirement of 1.5% of total Credit Risk Weighted Assets (CRWA) for unclassified assets is being built up as per the circular. CRWA is calculated using the Basel II standardized approach.
Discussion of Bank's Risk Management Policy
First Gulf Bank has put in place an Enterprise Risk Management Policy framework which aims to accomplish Bank's core values and purpose of being a world-class organization maximizing its risk adjusted returns for all stakeholders by establishing an enterprise wide risk management framework across the First Gulf Bank group including its local and international branches, subsidiaries, associates and foreign representative offices. Core objective of the policy framework is to provide a reasonable degree of assurance to the Board that the risks threatening the bank's achievement of its core purpose are being identified, measured, monitored and controlled through an effective integrated risk management system Covering Credit, Market, Operational, Interest Rate, Liquidity and all other material risks including Strategic Risk, Country Risk, Reputation Risk, etc. First Gulf Bank's Enterprise Risk Management Policy framework covers the following risks within its ambit in the form of specific policy documents: Corporate Credit risk, Retail Credit Risk, Market risk, Operational risk, Interest rate risk in the Banking Book, Liquidity risk, Country risk, AML and Compliance risk, Information security risk and Other Material risks viz. Country Risk, Strategic Risk and Reputation risk. In addition to these risk management policies, First Gulf Bank has also put in place detailed credit policies and procedures in the corporate and retail banking areas. This framework is cascaded in a hierarchy of policy manuals throughout the First Gulf Bank group and communicates standards, instructions and guidance to employees.
Partial adoption of foundation IRB/advanced IRB

Approach	**Description of exposures**	**Plans and timing of migration to implement fully higher approach**
Standardised Approach	As per Basel II categorization.	FGB is already on Standardized approach.
Foundation IRB	Planned as per Basel II categorization.	First Gulf Bank is working on fulfillment of minimum requirements for transition towards IRB; the bank has already developed the necessary credit risk models across its wholesale and retail banking portfolios and is carrying out the necessary validation process vis-a-vis the Basel II minimum requirements for transition to IRB. This includes use-testing and external validation of credit risk models. In the wholesale banking portfolio, First Gulf Bank has developed several PD models which include industry specific corporate models, FI model, High Networth Individual model, Sovereign model, Non Banking Financial Institutions model and Specialized Lending models. Independent external validation of part of these models has already been carried out and the validated models are under the use-testing process. Detailed documentation pertaining to model development, testing, validation, use-testing and governance has been prepared to aid the IRB application process. In the retail banking portfolio, First Gulf Bank has developed several product specific PD models which include models for Credit cards, Personal Loans, SME Loans, Auto Loans, Residential Mortgage Loans, etc. Currently the bank is in the process of carrying out external validation for the retail models. First Gulf Bank has initiated internal IRB calculations for a part of the wholesale banking portfolio and it aims to approach UAE Central Bank for necessary approvals pertaining to transition to IRB.
Advanced IRB	Planned as per Basel II categorization.	FGB has developed generic models for LGD and EAD for the wholesale banking portfolio and retail banking portfolio.

4. (b) GROSS CREDIT EXPOSURE BY CURRENCY

All numbers in AED 000

Currency	Loans	Debt Securities	Other exposures	Total Funded	Commitments		OTC Derivatives			Other Off Balance Sheet exposures		Total Non Funded (Credit Risk exposure)	Total
					without ccf	with ccf	Notional Amount	Positive Fair Value	Credit Risk Exposure	without ccf	with ccf		
Foreign Currency	25,386,176	15,295,641	10,112,359	50,794,176	1,282,125	256,425	29,672,131	591,901	953,592	38,287,759	19,458,575	20,668,592	71,462,768
AED	82,955,278	1,280,306	14,931,219	99,166,803	789,779	157,956	7,531,205	10,579	86,742	29,065,749	14,895,508	15,140,206	114,307,009
Provisions	(3,621,655)	-	-	(3,621,655)	-	-	-	-	-	-	-	-	(3,621,655)
Total	**104,719,799**	**16,575,947**	**25,043,578**	**146,339,324**	**2,071,904**	**414,381**	**37,203,336**	**602,480**	**1,040,334**	**67,353,508**	**34,354,083**	**35,808,798**	**182,148,122**

4. (c) GROSS CREDIT EXPOSURE BY GEOGRAPHICAL DISTRIBUTION

All numbers in AED 000

Geographical Region	Loans	Debt Securities	Other exposures	Total Funded	Commitments		OTC Derivatives			Other Off Balance Sheet exposures		Total Non Funded (Credit Risk exposure)	Total
					without ccf	with ccf	Notional Amount	Positive Fair Value	Credit Risk exposure	without ccf	with ccf		
United Arab Emirates	102,918,597	7,225,789	17,747,271	127,891,657	1,833,540	366,708	14,700,560	206,777	370,674	56,781,261	29,098,112	29,835,494	157,727,151
GCC excluding UAE	1,079,702	608,966	1,345,075	3,033,743	117,826	23,565	-	-	-	15,207	10,645	34,210	3,067,953
Arab League (excluding GCC)	226,694	23,935	-	250,629	-	-	-	-	-	336,603	307,219	307,219	557,848
Asia	3,169,492	995,351	1,896,691	6,061,534	96,124	19,225	431,571	386	4,702	8,473,343	3,850,277	3,874,204	9,935,738
Africa	159,861	-	942	160,803	-	-	-	-	-	7,346	3,673	3,673	164,476
North America	3,522	5,938,270	1,059,575	7,001,367	-	-	-	-	-	549,899	357,240	357,240	7,358,607
South America	-	-	-	-	-	-	-	-	-	146,920	29,384	29,384	29,384
Caribbean	342,264	-	615	342,879	-	-	-	-	-	183,650	183,650	183,650	526,529
Europe	436,816	1,783,636	2,990,761	5,211,213	24,414	4,883	22,071,205	395,317	664,958	859,279	513,883	1,183,724	6,394,937
Australia	4,506	-	2,648	7,154	-	-	-	-	-	-	-	-	7,154
Others	-	-	-	-	-	-	-	-	-	-	-	-	-
Provisions	(3,621,655)	-	-	(3,621,655)	-	-	-	-	-	-	-	-	(3,621,655)
Total	**104,719,799**	**16,575,947**	**25,043,578**	**146,339,324**	**2,071,904**	**414,381**	**37,203,336**	**602,480**	**1,040,334**	**67,353,508**	**34,354,083**	**35,808,798**	**182,148,122**

4. (d) GROSS CREDIT EXPOSURE BY INDUSTRY SEGMENT

All numbers in AED 000

Industry Segment	Loans	Debt Securities	Other exposures	Total Funded	Commitments		OTC Derivatives			Other Off Balance Sheet exposures		Total Non Funded (Credit Risk exposure)	Total
					without ccf	with ccf	Notional Amount	Positive Fair Value	Credit Risk exposure	without ccf	with ccf		
Agriculture, Fishing & Related activities	110,190	-	127	110,317	-	-	-	-	-	184,911	184,357	184,357	294,674
Crude Oil, Gas, Mining & Quarrying	1,367,416	-	1,241	1,368,657	67,080	13,416	-	-	-	918,253	459,128	472,544	1,841,201
Manufacturing	2,746,165	-	7,580	2,753,745	338,659	67,732	76,824	296	1,148	5,538,290	3,408,951	3,477,831	6,231,576
Electricity & Water	-	-	-	-	-	-	-	-	-	-	-	-	-
Real Estate & Constriction	24,262,176	1,236,783	136,466	25,635,425	243,569	48,714	518,232	9,363	12,341	28,642,192	15,711,224	15,772,279	41,407,704
Trade	7,654,632	-	37,523	7,692,155	122,791	24,558	1,531,720	27,380	44,197	5,083,559	2,832,169	2,900,924	10,593,079
Transport, Storage & Communication	906,138	-	4,058	910,196	61,425	12,285	-	-	-	24,040	21,686	33,971	944,167
Financial Institutions	-	4,550,788	12,391,935	16,942,723	-	-	30,656,762	432,917	774,726	8,454,832	4,006,734	4,781,460	21,724,183
Services	14,300,076	-	384,470	14,684,546	481,727	96,345	1,743,772	42,309	74,043	7,368,977	4,456,257	4,626,645	19,311,191
Government (including Public Sector)	9,545,732	10,788,376	9,437,311	29,771,419	756,653	151,331	1,387,853	81,441	93,444	11,122,939	3,259,587	3,504,362	33,275,781
Retail / Consumer Banking	38,152,489	-	87,516	38,240,005	-	-	-	-	-	731	720	720	38,240,725
All Others	9,296,440	-	2,555,351	11,851,791	-	-	1,288,173	8,774	40,435	14,784	13,270	53,705	11,905,496
Provisions	(3,621,655)	-	-	(3,621,655)	-	-	-	-	-	-	-	-	(3,621,655)
Total	**104,719,799**	**16,575,947**	**25,043,578**	**146,339,324**	**2,071,904**	**414,381**	**37,203,336**	**602,480**	**1,040,334**	**67,353,508**	**34,354,083**	**35,808,798**	**182,148,122**

4. (e) GROSS CREDIT EXPOSURE BY RESIDUAL CONTRACTUAL MATURITY

All numbers in AED 000

Residual Maturity	Loans	Debt Securities	Other exposures	Total Funded	Commitments		OTC Derivatives			Other Off Balance Sheet exposures		Total Non Funded (Credit Risk exposure)	Total
					without ccf	with ccf	Notional Amount	Positive Fair Value	Credit Risk exposure	without ccf	with ccf		
Less than 3 months	28,477,718	5,929,089	17,262,173	51,668,980	-	-	11,904,002	602,480	144,588	43,132,883	22,831,130	22,975,718	74,644,698
3 months to one year	10,264,436	230,398	7,781,405	18,276,239	2,071,904	414,381	3,821,052	-	57,180	9,762,257	5,755,470	6,227,031	24,503,270
one to five years	31,127,360	6,336,573	-	37,463,933	-	-	8,187,221	-	239,653	14,458,368	5,767,483	6,007,136	43,471,069
Over five years	38,471,940	4,079,887	-	42,551,827	-	-	13,291,061	-	598,913	-	-	598,913	43,150,740
Provisions	(3,621,655)	-	-	(3,621,655)	-	-	-	-	-	-	-	-	(3,621,655)
Grand Total	**104,719,799**	**16,575,947**	**25,043,578**	**146,339,324**	**2,071,904**	**414,381**	**37,203,336**	**602,480**	**1,040,334**	**67,353,508**	**34,354,083**	**35,808,798**	**182,148,122**

4. (f) IMPAIRED LOANS BY INDUSTRY SEGMENT

All numbers in AED 000

Industry Segment	Overdue or Impaired			Provisions			Adjustments	
	Overdue Less than 90 days	Total Impaired Assets	Total Funded	IIS	Specific	General	Writeoffs	Write Backs
Agriculture, Fishing & Related activities	-	-	-	-	-	-	-	-
Crude Oil, Gas, Mining & Quarrying	-	-	-	-	-	-	-	-
Manufacturing	897	27,933	28,830	7,649	14,263	-	93,009	-
Electricity & Water	-	-	-		-	-	-	-
Real Estate & Construction	25,794	669,492	695,286	30,647	297,156	-	-	-
Trade	65,638	152,259	217,897	31,112	72,070	-	58,459	-
Transport, Storage & Communication	-	-	-	-	-	-	-	-
Financial Institutions	-	-	-	-	-	-	-	-
Services	13,916	676,700	690,616	65,148	297,295	-	209,767	-
Government (including Public Sector)	-	620,727	620,727	-	-	-	-	-
Retail / Consumer Banking	2,079,561	983,911	3,063,472	86,838	767,606	127,940	763,429	-
All Others	1,064	1,170,833	1,171,897	225,904	755,223	1,290,102	8,304	-
Total	**2,186,870**	**4,301,855**	**6,488,725**	**447,298**	**2,203,613**	**1,418,042**	**1,132,968**	**-**
The collateral held against the past due and impaired loans totalled AED 3,034,874 thousand in the form of under lien fixed deposits, cash margins, equities, bank guarantees, machinery & equipment, mortgaged properties, motor vehicles , shipping vessels, aircrafts, etc.								

4. (g) IMPAIRED LOANS BY GEOGRAPHICAL DISTRIBUTION

All numbers in AED 000

Geographical Region	Overdue				Provisions		Adjustments	
	Overdue Less than 90 days	Total Impaired Assets	Total Funded	IIS	Specific	General	Writeoffs	Write Backs
United Arab Emirates	2,186,870	4,279,053	6,465,923	447,298	2,200,675	1,405,866	760,502	-
GCC excluding UAE	-	-	-	-	-	-	372,440	-
Arab League (excluding GCC)	-	-	-	-	-	-	26	-
Asia	-	22,802	22,802	-	2,938	12,176	-	-
Africa	-	-	-	-	-	-	-	-
North America	-	-	-	-	-	-	-	-
South America	-	-	-	-	-	-	-	-
Caribbean	-	-	-	-	-	-	-	-
Europe	-	-	-	-	-	-	-	-
Australia	-	-	-	-	-	-	-	-
Others	-	-	-	-	-	-	-	-
Total	**2,186,870**	**4,301,855**	**6,488,725**	**447,298**	**2,203,613**	**1,418,042**	**1,132,968**	**-**

4. (h) RECONCILIATION OF CHANGES IN PROVISION FOR IMPAIRED LOANS

All numbers in AED 000

	Description	AED 000's
	Opening Balance of Provisions for Impaired Loans	3,294,783
Add:	Charge for the year	-
	• Corporate, Retail Specific provisions	915,210
	• Corporate, Retail and International Division General provisions	679,346
Less:	Write-off of impaired loans	(1,132,968)
Less:	Recovery of loan loss provisions	-
Less:	Recovery of loans previously written-off	(41,465)
Less:	Notional Interest on Impaired Loans & Advances	(93,251)
Less:	Write-back of provisions for loans	-
	Adjustments of loan loss provisions	-
	Closing Balance of Provisions for Impaired Loans	**3,621,655**

4 (i) BASEL II PORTFOLIO AS PER STANDARDISED APPROACH

All numbers in AED 000

Asset Classes	On Balance Sheet			Off Balance Sheet	Credit Risk Mitigation (CRM)				Risk Weighted Assets
See Basel II, June 2006, Para 50 to 81, and Central Bank National Discretions	Gross Outstanding	Interest In Suspense And Specific Provisions	Net Outstanding	Net Exposure After Credit Conversion Factors (CCF)	Exposure Before CRM*	CRM	Risk Reduction With Guarantees	After CRM	
Claims on Sovereigns	15,605,640	-	15,605,640	1,737,226	17,342,866	-	-	17,342,866	156,511
Claims on Non-Central Government Public Sector Entities	9,119,338	-	9,119,338	767	9,120,105	15,869	2,078	9,102,158	9,102,158
Claims on Multi Lateral Development Banks	-	-	-	-	-	-	-	-	-
Claims on Banks	16,627,234	-	16,627,234	3,287,179	19,914,413	99	-	19,914,314	7,678,740
Claims on Securities Firms	13,655	-	13,655	127,178	140,833	-	-	140,833	70,417
Claims on Corporates	38,209,140	29,694	38,179,446	30,023,208	68,202,654	5,114,517	1,043,208	62,044,929	60,147,490
Claims Included in The Regulatory Retail Portfolio	23,932,538	28,455	23,904,083	202,513	24,106,596	326	-	24,106,270	19,622,021
Claims Secured by Residential Property	13,481,874	44,410	13,437,464	-	13,437,464	3,282	10,366,087	3,068,095	2,517,713
Claims Secured by Commercial Real Estate	23,714,909	-	23,714,909	110,777	23,825,686	2,467,621	784,691	20,573,374	20,573,374
Past Due Loans	4,128,425	2,548,352	1,580,073	-	1,580,073	215,227	15,346	1,349,500	1,378,977
Higher-Risk Categories	1,379,359	-	1,379,359	639,808	2,019,167	-	-	2,019,167	3,028,751
Other Assets	15,337,177	-	15,337,177	310,932	15,648,109	-	-	15,648,109	10,818,366
Claims on Securitised Assets	-	-	-	-	-	-	-	-	-
Credit Derivatives (Banks Selling Protection)	-	-	-	9,018	9,018	-	-	9,018	2,500
Total Claims	**161,549,289**	**2,650,911**	**158,898,378**	**36,448,606**	**195,346,984**	**7,816,941**	**12,211,410**	**175,318,633**	**135,097,018**

CRM includes collateral in the form of cash, equities and financial guarantees

5. BASEL II PORTFOLIO AS PER STANDARDISED APPROACH (RATED / UNRATED)

All numbers in AED 000

Asset Class	On Balance Sheet				Off Balance Sheet			Exposure Before CRM			CRM	Guarantees CRM	Exposure After CRM			RWA		
	Gross	Net			Net Exposure After Credit Conversion Factors (ccf)													
	Total	Rated	Unrated	Total	Rated	Unrated	Total	Rated	Unrated	Total	Total	Total	Rated	Unrated	Total	Rated	Unrated	Total
Claims on Sovereigns	15,605,640	15,421,803	183,837	15,605,640	1,737,226	-	1,737,226	17,159,029	183,837	17,342,866	-	-	17,159,029	183,837	17,342,866	156,511	-	156,511
Claims on Public Sector Entities	9,119,338	-	9,119,338	9,119,338	-	767	767	-	9,120,105	9,120,105	15,869	2,078	-	9,102,158	9,102,158	-	9,102,158	9,102,158
Claims on Multilateral development banks	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Claims on Banks	16,627,234	14,542,491	2,084,743	16,627,234	3,287,179	-	3,287,179	17,829,670	2,084,743	19,914,413	99	-	17,829,670	2,084,644	19,914,314	6,636,368	1,042,372	7,678,740
Claims on Securities Firms	13,655	13,655	-	13,655	127,178	-	127,178	140,833	-	140,833	-	-	140,833	-	140,833	70,417	-	70,417
Claims on Corporate	38,209,140	4,594,851	33,584,595	38,179,446	-	30,023,208	30,023,208	4,594,851	63,607,803	68,202,654	5,114,517	1,043,208	4,594,851	57,450,078	62,044,929	2,697,413	57,450,078	60,147,491
Regulatory & Other Retail Exposure	23,932,538	-	23,904,083	23,904,083	-	202,513	202,513	-	24,106,596	24,106,596	326	-	-	24,106,270	24,106,270	-	19,622,021	19,622,021
Residential Retail Exposure	13,481,874	-	13,437,464	13,437,464	-	-	-	-	13,437,464	13,437,464	3,282	10,366,087	-	3,068,095	3,068,095	-	2,517,713	2,517,713
Commercial Real Estate	23,714,909	-	23,714,909	23,714,909	-	110,777	110,777	-	23,825,686	23,825,686	2,467,621	784,691	-	20,573,374	20,573,374	-	20,573,374	20,573,374
Past Due Assets	4,128,425	-	1,580,073	1,580,073	-	-	-	-	1,580,073	1,580,073	215,227	15,346	-	1,349,500	1,349,500	-	1,378,977	1,378,977
High Risk Category	1,379,359	-	1,379,359	1,379,359	-	639,808	639,808	-	2,019,167	2,019,167	-	-	-	2,019,167	2,019,167	-	3,028,751	3,028,751
Other Assets	15,337,177	-	15,337,177	15,337,177	35,495	275,437	310,932	35,495	15,612,614	15,648,109	-	-	35,495	15,612,614	15,648,109	-	10,818,365	10,818,365
Claims on Securitised Assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Credit Derivatives (Banks selling protection)	-	-	-	-	9,018	-	9,018	9,018	-	9,018	-	-	9,018	-	9,018	2,500	-	2,500
Grand Total	**161,549,289**	**34,572,800**	**124,325,578**	**158,898,378**	**5,196,096**	**31,252,510**	**36,448,606**	**39,768,896**	**155,578,088**	**195,346,984**	**7,816,941**	**12,211,410**	**39,768,896**	**135,549,737**	**175,318,633**	**9,563,209**	**125,533,809**	**135,097,018**

6. CREDIT RISK MITIGATION: DISCLOSURES FOR STANDARDIZED APPROACH

All numbers in AED 000

Quantitative Disclosures		Exposures	Risk Weighted Assets
	Gross Exposure prior to Credit Risk Mitigation	**195,346,984**	
Less:	Exposure covered by on-balance sheet netting	-	
Less:	Exposures covered by Eligible Financial Collateral	7,816,941	
Less:	Exposures covered by Guarantees	12,211,410	
Less:	Exposures covered by Credit Derivatives	-	
	Net Exposures after Credit Risk Mitigation	**175,318,633**	**135,097,018**

7. COUNTERPARTY CREDIT RISK EXPOSURE

All numbers in AED 000

Asset Class	FX			IRS			TRS			CDS		
	Gross	MTM	Gross Credit Exposure	Gross	MTM	Gross Credit Exposure	Gross	MTM	Gross Credit Exposure	Gross	MTM	Gross Credit Exposure
Claims on Sovereigns	-	-	-	-	-	-	-	-	-	-	-	-
Claims on Public Sector Entities	-	-	-	-	-	-	-	-	-	-	-	-
Claims on Multilateral development banks	-	-	-	-	-	-	-	-	-	-	-	-
Claims on Banks	9,418,483	26,511	134,107	14,038,753	274,359	424,273	-	-	-	-	-	-
Claims on Securities Firms	-	-	-	1,959,029	98,017	127,178	-	-	-	-	-	-
Claims on Corporate	1,459,869	24,810	52,948	5,913,829	168,792	226,651	157,633	-	15,763	-	-	-
Regulatory & Other Retail Exposure	-	-	-	16,014	1,019	1,106	-	-	-	-	-	-
Residential Retail Exposure	-	-	-	-	-	-	-	-	-	-	-	-
Commercial Real Estate	-	-	-	-	-	-	-	-	-	-	-	-
Past Due Assets	-	-	-	-	-	-	-	-	-	-	-	-
High Risk Category	-	-	-	-	-	-	-	-	-	-	-	-
Other Assets	4,066,266	8,627	49,289	-	-	-	-	-	-	-	-	-
Claims on Securitised Assets	-	-	-	-	-	-	-	-	-	-	-	-
Credit Derivatives (Banks selling protection)	-	-	-	-	-	-	-	-	-	173,460	345	9,018
Grand Total	**14,944,618**	**59,948**	**236,344**	**21,927,625**	**542,187**	**779,208**	**157,633**	**-**	**15,763**	**173,460**	**345**	**9,018**

8. MARKET RISK CAPITAL REQUIREMENT UNDER STANDARDISED APPROACH

All numbers in AED 000

Market Risk	**Amount**
Interest Rate Risk	158,176
Equity Position Risk	74,903
Foreign Exchange Risk	64,564
Commodity Risk	-
Options Risk	629
Total Capital Requirement	**298,272**

9. EQUITY POSITION

All numbers in AED 000

As at 31 December 2011 , the Bank's total equity investment portfolio amounted to AED 2,213 M, 9.8% of which represents quoted investments. For details of the accounting policies and valuation methodology, please refer to Note 2 to the consolidated financial statements under 'Significant Accounting Policies'. Details of cost, market and fair value are reported in Note 5 to the consolidated financial statements under the heading of "Investments".

b) Quantitative Disclosures

1. QUANTITATIVE DETAILS OF EQUITY POSITION:				
Type	Current Year		Previous Year	
	Publicly Traded	Privately Held	Publicly Traded	Privately Held
Equities	216,331	464,887	246,330	80,243
Collective investment schemes		1,532,291		1,407,222
Any other investment				
Total	216,331	1,997,178	246,330	1,487,465

2. REALISED, UNREALISED AND LATENT REVALUATION GAINS (LOSES) DURING THE YEAR:	
Gains (Losses)	Amount
Realised gains (losses) from sales and liquidations	23,619
*Unrealised gains (losses) recognised in the balance sheet but not through profit and loss account	120,936
**Latent revaluation gains (losses) for investment recorded at cost but not recognised in balance sheet or profit and loss account	
Total	**144,555**

3. ITEMS IN (2) ABOVE INCLUDED IN TIER 1/TIER 2 CAPITAL:	
Tier Capital	Amount
Amount included in Tier I capital	144,555
Amount included in Tier II capital	-
Total	**144,555**

4. CAPITAL REQUIREMENTS BY EQUITY GROUPINGS:	
Grouping	Amount
Strategic investments	322,667
Available for sale	59,082
Held for trading	
Total capital requirement	**381,749**

10. INTEREST RATE RISK IN THE BANKING BOOK

All numbers in AED 000

Interest Rate Risk arises from the possibility that changes in interest rates will affect future profitability, cash flows or the fair values of financial instruments. The Bank is exposed to interest rate risk as a result of mismatches or gaps in the amounts of assets and liabilities and off balance sheet instruments that mature or reprice in a given period. The Board of Directors has established acceptable levels of interest rate risk by setting limits on the interest rate gaps for stipulated periods. The Bank manages interest rate risk by matching the repricing of assets and liabilities through risk management strategies and monitors the positions on a daily basis to ensure they are maintained within established limits. Adherence to these limits is monitored by ALCO.

Interest Rate Risk is also assessed by measuring the impact of defined movements in interest yield curves on the Bank's Net Interest Income. The following impact on the net interest income and regulatory capital for the year of an immediate and permanent movement in interest yield curves as at

Shift in Yield Curves	**Net Interest Income**	**Regulatory Capital**
+200 basis point	54,796	-
- 200 basis point	(54,796)	(54,796)

The above interest rate sensitivities are illustrative only and adopt simplified scenarios. The sensitivities do not incorporate actions that could be taken by management to mitigate the effect of interest rate movements.